Question #1 of 180

Question ID: 1417755

Which of the following statements about the CFA Institute's Professional Conduct Program (PCP) is *least accurate*?

A) Possible sanctions include condemnation by a member's peers or suspension of a candidate's participation in the CFA Program.

B) If the PCP staff determine that a sanction against a member is warranted, the member must either accept the sanction or lose the right to use the CFA designation.

C) Members who cooperate with a PCP inquiry by providing confidential client information to PCP staff are not in violation of Standard III(E) Preservation of Confidentiality.

Explanation

Members can accept or reject a disciplinary sanction proposed by the Professional Conduct Program staff. If the member rejects the sanction, the matter is referred to a hearing before a disciplinary review panel of CFA Institute members. The other statements are accurate.

For Further Reference:

(Study Session 19, Module 57.1, LOS 57.a)

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Question #2 of 180

Question ID: 1417771

Robert Miguel, CFA, is a portfolio manager. On Saturday, one of his clients invited Miguel and his wife to be his guests at his luxury suite for a major league baseball playoff game, which they did. Miguel told his supervisor on Monday that they had attended the game with the client and that the suite was luxurious. Miguel has:

A) not violated the Standards.

B) violated the Standards because disclosure must be in writing.

C) violated the Standards because he must disclose the gift prior to accepting.

Explanation

In this case, Miguel has not violated the standards. For a gift from a client in appreciation of past service or performance, informing his supervisor verbally is sufficient. Standard I(B) Independence and Objectivity requires disclosure prior to accepting the gift "when possible," but in cases such as this when there is short notice, notification afterward is permitted. (Module 60.1)

For Further Reference:

(Study Session 19, Module 58.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #3 of 180

Question ID: 1417772

At his golf club on Saturday morning, Paul Corwin, CFA, sees Frank Roberts, a friend and institutional client of his, who tells him that he is planning to sell his house on the 7th fairway. While golfing that day, Corwin tells Robert Lowe, a realtor, that Roberts is planning to sell his house and may need a realtor. He also tells Lowe that he manages an equities account for Roberts. If Corwin has not received permission from Roberts, he has violated the Standard on preservation of confidentiality:

A) both by disclosing Roberts' plan to sell his home and that he is a client. ✗

B) by disclosing Roberts' plan to sell his home but not by mentioning that he was a client. ✗

C) by disclosing that Roberts is a client of his but not by mentioning Roberts' plan to sell his home. ✓

Explanation

Roberts violated Standard III(E) Preservation of Confidentiality by revealing his business relationship with Roberts without permission. Because the information that Roberts' plans to sell his home is not received as part of his professional relationship with Roberts, it is not covered by the Standard. (Module 60.1)

For Further Reference:

(Study Session 19, Module 58.5, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #4 of 180

Question ID: 1417773

Doug Watson, CFA, serves in a sales position at Sommerset Brokerage, a registered investment adviser. Watson frequently drinks excessively. On one occasion, Watson was cited by local police for misdemeanor public intoxication. According to the Standard on knowledge of the law and the Standard on misconduct, Watson is in violation of:

A) both of these Standards. ✗

B) neither of these Standards. ✓

C) only one of these Standards. ✗

Explanation

Watson's excessive drinking is unfortunate, but we have no evidence that it has affected his work, professional integrity, judgment, or reputation. If he commits an act involving fraud or dishonesty, he would violate the Standard on misconduct. (Module 58.2)

For Further Reference:

(Study Session 19, Module 58.2, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #5 of 180

Question ID: 1417774

Peter Taylor, a CFA charterholder and a food industry analyst for a large investment firm, has been invited by Sweet Pineapple Co. to visit the firm's processing plants in Hawaii. The Standard concerning independence and objectivity recommends that Taylor:

A) use and pay for commercial transportation, if available. ✓

B) obtain written permission from his employer before he accepts this invitation. ✗

C) decline this invitation if he issues recommendations on the firm's securities. ✗

Explanation

The recommended procedures for compliance with Standard I(B) Independence and Objectivity include the recommendation that analysts on company visits pay their own travel expenses and use commercial transportation if it is available. (Module 58.1)

For Further Reference:

(Study Session 19, Module 58.1, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #6 of 180

Question ID: 1417775

Ruth Brett, a Level I CFA candidate, feels nervous and unprepared the night before the exam. Brett writes a few key notes on the bottom of her shoe. At the exam, Brett sees the large number of proctors present and decides not to risk getting caught and does not look at her shoe. According to the CFA Institute Code of Ethics and Standards of Professional Conduct, Brett is:

A) not in violation of any Standard or the Code of Ethics because she did not use the notes. ✗

B) in violation of the Code of Ethics for bringing the notes into the examination room but is not in violation of any Standard because she did not use the notes.

C) in violation of both the Code of Ethics and the Standard governing conduct as participants in CFA Institute programs for taking the notes into the examination room.

Explanation

Brett violated both the Code of Ethics and Standard VII(A) Conduct as Participants in CFA Institute Programs. By writing down information from the Candidate Body of Knowledge and taking it into the exam room, she compromised the integrity of the exam, whether she used the notes or not. Her actions are also in violation of the Code of Ethics by not acting "with integrity, competence, diligence, respect, and in an ethical manner." (Module 58.9)

For Further Reference:

(Study Session 19, Module 58.9, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #7 of 180

Question ID: 1417776

Which of the following is *least likely* included in the CFA Institute Code of Ethics? Members of CFA Institute must:

A) place their clients' interests before their employer's interests.

B) strive to maintain and improve the competence of others in the profession.

C) use reasonable care and exercise independent professional judgment.

Explanation

The requirement that members and candidates place their clients' interests before their employer's or their own is in Standard III(A) Loyalty, Prudence, and Care. The other choices are included in the CFA Institute Code of Ethics. (Module 58.4)

For Further Reference:

(Study Session 19, Module 58.4, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #8 of 180

Question ID: 1417777

In formulating her report on GammaCorp's common stock, Barb Kramer, CFA, did a complex series of statistical tests on the company's past sales and earnings. Based on this statistical study, Kramer stated in her report that, "GammaCorp's earnings growth for the next five years will average 15% per year." Her conclusion was based in part on a regression analysis with a high level of statistical significance. Has Kramer violated the Standard on communication with clients and prospective clients?

A) Yes, because she didn’t give complete details of the statistical model used. ✗

B) Yes, because she failed to indicate that 15% growth is an estimate. ✓

C) No, because her projections are within the generally accepted bounds of statistical accuracy. ✗

Explanation

Kramer violated Standard V(B) Communication with Clients and Prospective Clients. The problem is with the word "will." Kramer should have used "is estimated to be" to separate fact from opinion. Statistical estimates of future events are subject to change and should not be presented as certainties. She need not give complete details of the statistical model but should indicate its general characteristics and the important factors involved in her projections. (Module 58.7)

For Further Reference:

(Study Session 19, Module 58.7, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #9 of 180

Question ID: 1417778

Dudley Thompson is a bond salesman for a small broker/dealer in London. His firm is the lead underwriter on a new junk bond issue for Ibex Corporation, and Thompson has sent details of the offering to clients. Thompson calls only his accounts over £1,000,000 for whom he thinks the issue is suitable. Thompson also posts his firm's optimistic projections for Ibex's performance in several Internet chat rooms. According to the Standards concerning market manipulation and fair dealing, Thompson is in violation of:

A) both of these Standards. ✗

B) neither of these Standards. ✓

C) only one of these Standards. ✗

Explanation

Thompson has not violated Standard II(B) Market Manipulation by posting his firm's projections for Ibex. A firm's recommendation of a security may increase its price without any intent to mislead the market. The firm has disseminated the details of the offering to its clients fairly, so Thompson may call individual clients without violating the Standard III(B) Fair Dealing. (Modules 58.3 and 58.4)

For Further Reference:

(Study Session 19, Modules 58.3, 58.4, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #10 of 180

Question ID: 1417779

Rob Elliott, CFA, is an analyst with a large asset management firm. His personal portfolio includes a large amount of common stock of Tech Inc., a semiconductor company, which his firm does not currently follow. The director of the research department has asked Elliott to analyze Tech and write a report about its investment potential. Based on the CFA Institute Standards of Professional Conduct, the *most appropriate* course of action for Elliot is to:

A) decline to write the report.

B) sell his shares of Tech before completing the report.

C) disclose the ownership of the stock to his employer and in the report, if he writes it.

Explanation

According to Standard VI(A) Disclosure of Conflicts, Elliott should disclose his beneficial ownership of Tech to his employer and to clients and prospects because such ownership could interfere with his ability to make unbiased and objective recommendations. Selling his shares and declining to write the report are not required and are more extreme than simply disclosing the potential conflict. (Module 58.8)

For Further Reference:

(Study Session 19, Module 58.8, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #11 of 180

Question ID: 1417780

Angie Franklin, CFA, who covers technology stocks, joins a conference call for analysts presented by Cynthia Lucas, chief technology officer for LevelTech. Lucas tells the analysts that overseas shipments of the company's important new product are going to be delayed due to manufacturing defects, which is new information to the analysts. After the meeting Franklin changes her rating on LevelTech from "buy" to "hold" and sends a note to accounts recommending the sale of LevelTech. Franklin:

A) did not violate the Standards. ✗

B) violated the Standard on nonpublic information by revising her rating on LevelTech. ✓

C) violated the Standard on fair dealing by rating the stock a “hold” but recommending sale of the shares to her accounts. ✗

Explanation

Telling a selected group of analysts new information does not constitute public disclosure, and therefore acting or causing others to act on this information is a violation of Standard II(A) Material Nonpublic Information. Recommending the sale of a stock rated as a "hold" is not a violation of Standard III(B) Fair Dealing. (Modules 58.3, 58.4 and 60.1)

For Further Reference:

(Study Session 19, Modules 58.3, 58.4, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #12 of 180

Question ID: 1417781

According to the recommended procedures for complying with the Standard on suitability, which of the following statements regarding an investment policy statement (IPS) is *least accurate*?

A) An IPS should describe the roles and responsibilities of both the adviser and the client.

B) A member or candidate is not responsible for financial information withheld by the client.

C) A client's IPS must be updated at least quarterly to reflect any changes in their investment profile.

Explanation

Standard III(C) Suitability requires that members and candidates update client information (the IPS) at least annually. The IPS can be updated more frequently if there are significant changes in the investment strategy or client characteristics. (Module 58.5 and 60.1)

For Further Reference:

(Study Session 19, Module 58.5, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #13 of 180

Question ID: 1417782

Sue Johnson, CFA, has an elderly client with a very large asset base. The client intends to start divesting her fortune to various charities. Johnson is on the Board of a local charitable foundation. Johnson *most* appropriately:

A) must not discuss anything regarding her client and her client's intentions with the charitable foundation without permission. ✓

B) can discuss her client's situation with the charitable foundation as long as she informs other local charities of her client's intentions. ✗

C) can make this known to the charitable foundation so that they can solicit the client, since it is the client's wish to divest assets to charities in the future. ✗

Explanation

To comply with Standard III(E) Preservation of Confidentiality, Johnson must not discuss with her charitable foundation anything regarding her client and her client's intentions. It does not matter that her client intends to give money to charities in the near future. (Module 58.5 and 60.1)

For Further Reference:

(Study Session 19, Module 58.5, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #14 of 180

Question ID: 1417783

According to the Standard related to loyalty, prudence, and care, which of the following statements regarding the voting of proxies on client holdings is *least accurate*?

A) Proxies have economic value to a client. ✗

B) An investment management firm should vote all proxies on client holdings unless the client reserves that right. ✓

C) Members and candidates should explicitly disclose the firm’s proxy voting policies to clients. ✗

Explanation

Standard III(A) Loyalty, Prudence, and Care does not require the voting of all proxies. A cost-benefit analysis may support the conclusion that the voting of all proxies is not beneficial to the client in light of the time and effort required. Voting on nonroutine issues that have a material impact is required. (Module 58.4 and 60.1)

For Further Reference:

(Study Session 19, Module 58.4, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #15 of 180

Question ID: 1417784

Alvin Gold, CFA, resides in Country T and does business as an investment advisor primarily in Country U. Country T allows trading on non-public information and does not require disclosure of referral fees. Country U prohibits trading on non-public information only if it is gained by illegal means and requires disclosure of referral fees of over $100 (U.S. equivalent). Gold accepts a referral fee of $75, and in the course of a meeting with two other analysts and the firm's CFO, Gold receives material non-public information. To comply with the Code and Standards, Gold:

A) need not disclose the referral fee but cannot trade on the non-public information. ✗

B) must disclose the referral fee and cannot trade on the non-public information. ✓

C) must disclose the referral fee but may trade on the non-public information. ✗

Explanation

According to Standard I(A) Knowledge of the Law, Gold must comply with the most strict of the laws of Country T, laws of Country U, and the CFA Standards of Practice. In this case, the most strict rules are those in the Standards of Practice. Standard VI(C) Referral Fees requires the disclosure of all referral fees and Standard II(A) Material Nonpublic Information prohibits acting or causing others to act on the basis of material non-public information. (Modules 58.1, 58.3, 58.8 and 60.1)

For Further Reference:

(Study Session 19, Modules 58.1, 58.3, 58.8, LOS 57.b, 57.c, LOS 58.a, 58.b, 58.c, Module 60.1, LOS 60.b,)

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Question #16 of 180

Question ID: 1417767

Which of the following statements made in a marketing brochure is a violation of the Standards?

A) “Roger Langley, Chartered Financial Analyst, has been a portfolio manager for ten years and passed all three levels of the CFA examinations on his first attempts.”

B) “Jennifer York has passed the Level II exam and will earn the right to use the CFA designation after completing the Level III exam this June.”

C) “Paul Yeng, CFA, has retired from the firm after 25 years of service. Much of the firm’s past success can be attributed to Yeng’s efforts as an analyst and portfolio manager.”

Explanation

According to Standard VII(B) Reference to the CFA Institute, the CFA Designation, and CFA Program, citing an expected date for completing a level of the CFA Program is a misuse of the CFA designation. (Module 58.9)

For Further Reference:

(Study Session 1, Module 58.9, LOS, 58.a, 58.b, 58.c)

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Question #17 of 180

Question ID: 1417768

Hedge Funds Unlimited, a global hedge fund, has publicly acknowledged in writing that it has adopted the CFA Institute Code and Standards as its policies. Which of the following is *least likely* a violation of the firm's policies?

A) An analyst at the firm working overseas uses material nonpublic information as allowed by local law to make investment decisions for discretionary client accounts.

B) A junior analyst at the firm uses a subscription to his local newspaper and the opinions of his friends and colleagues to make investment recommendations for discretionary client accounts.

C) A CFA candidate at the firm, who is registered for the Level III exam, includes reference to participation in the CFA program and her status as a Level III candidate in her biographical background.

Explanation

All investment personnel in this example are subject to the CFA Institute Code and Standards as part of the firm's established policies. The candidate's reference to her Level III status and the inclusion of such information in her biographical information is not in violation of the CFA Institute Code and Standards. Candidates may clearly reference their participation in the CFA program, provided such reference does not imply the achievement of any type of partial designation. The analyst is considered a candidate since she is registered to take the next scheduled examination. The Code and Standards prohibit using material nonpublic information. Since the Code and Standards are *stricter* than the local law, they must be followed by the analyst. The junior analyst failed to exercise diligence and thoroughness in making investment recommendations and failed to have a reasonable and adequate basis for such recommendations. (Modules 58.1, 58.3, 58.7, and 58.9)

For Further Reference:

(Study Session 1, Modules 58.1, 58.3, 58.7, and 58.9, LOS 58.a, 58.b, 58.c)

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Question #18 of 180

Question ID: 1417764

According to the Code and Standards, members and candidates who are involved in distributing an initial public offering (IPO) of equity shares and wish to participate in the IPO:

A) may participate unless the IPO is oversubscribed. ✓

B) may not participate because this creates a conflict of interest. ✗

C) must obtain pre-clearance from a supervisor before participating. ✗

Explanation

Standard VI(B) Priority of Transactions recommends, but does not require, that a member or candidate obtain pre-clearance from his or her supervisor before participating in an equity IPO. Guidance for Standard III(B) Fair Dealing states that members and candidates distributing IPO shares must distribute shares in an oversubscribed IPO to clients and may not withhold shares for themselves. (Modules 58.4, 58.8)

For Further Reference:

(Study Session 19, Modules 58.4, 58.8, LOS 58.a, 58.b, 58.c)

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Question #19 of 180

Question ID: 1417760

Linda Bryant, CFA, is an employee of Roomkin Investment House, which underwrites equity and debt offerings. She has been approached by SimthCo to consult on a private debt placement. According to CFA Institute Standards of Professional Conduct, before Bryant agrees to accept this job, she is required to:

A) obtain written consent from Roomkin after submitting details of the arrangement.

B) talk to her immediate supervisor and get her approval to take this consulting job.

C) inform SimthCo in writing that she will accept the job and provide details of the arrangement to Roomkin in writing.

Explanation

To comply with Standard IV(B) Additional Compensation Arrangements, Bryant must obtain written consent from her employer before undertaking the independent consulting project. Bryant must also provide a description of the types of services being provided, the length of time the arrangement will last, and the compensation she expects to receive for her services. (Module 58.6)

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

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Question #20 of 180

Question ID: 1417762

To comply with the Code and Standards, analysts who send research recommendations to clients must:

A) keep records of all the data and analysis that went into creating the report.

B) send recommendations only to those clients for whom the investments are suitable.

C) not send recommendations without including the underlying analysis and basic investment characteristics.

Explanation

Standard V(C) Record Retention requires members to maintain records of the data and analysis they use to develop their research recommendations. Recommendations may be brief, in capsule form, or simply a list of buy/sell recommendations. A list of recommendations may be sent without regard to suitability, including both safe income stocks and aggressive growth stocks, for example. (Module 58.7)

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

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Question #21 of 180

Question ID: 1417761

Amy Brooks, a Level III CFA candidate, has been given supervisory responsibilities. In carrying out her responsibilities, Brooks has discovered that the firm's compliance system is inadequate. She informed her supervisor, who is not supportive of Brooks's efforts to correct the situation. According to CFA Institute Standards of Professional Conduct, Brooks:

A) has satisfied her obligation under the Code and Standards by informing her manager of the situation. ✗

B) must dissociate herself from the firm if the firm is not in compliance with the CFA Institute Standards. ✗

C) should decline in writing to accept supervisory responsibilities until an adequate compliance system is adopted. ✓

Explanation

Standard IV(C) Responsibilities of Supervisors indicates that a member should decline supervisory responsibility in writing until the firm adopts reasonable compliance procedures. Otherwise, Brooks cannot adequately exercise her responsibility. (Module 58.6)

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #22 of 180

Question ID: 1417769

Excluding the results of terminated accounts when calculating historical performance is recommended by:

A) both GIPS and the Standard concerning performance presentation.

B) GIPS, but not by the Standard concerning performance presentation.

C) neither GIPS nor the Standard concerning performance presentation.

Explanation

Standard III(D) Performance Presentation recommends that terminated accounts be included in historical performance calculations. (Module 58.5 and 59.1)

For Further Reference:

(Study Session 19, Modules 58.5, 59.1, LOS 58.a, 58.b, 58.c, 59.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

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Question #23 of 180

Question ID: 1417763

Ken Toma, CFA, has just completed an extensive analysis and concluded that the demand for vacation rentals in Hawaii will far exceed the supply for the foreseeable future. Toma writes a research report stating, "Based on the fact that the demand for Hawaiian beach vacations will exceed the supply of rooms for the foreseeable future, I recommend the purchase of shares of The Hawaiian REIT, a diversified portfolio of Hawaiian beachfront resorts." If Toma presents this report to his clients, he will *most likely* violate the CFA Institute Standards by:

A) not distinguishing between fact and opinion.

B) not considering the suitability of the investment for his clients.

C) failing to have a reasonable and adequate basis for his recommendation.

Explanation

Standard V(B) Communication with Clients and Prospective Clients requires that Toma separate opinion from fact. Toma's statement that excess demand will persist into the foreseeable future is an opinion, not a fact. Toma has established a reasonable basis for his recommendation through his analysis. Suitability does not become an issue until a client chooses to act on Toma's recommendation. (Module 58.7)

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #24 of 180

Question ID: 1417757

Derek Stevens, CFA, manages the pension plan assets of Colors, Inc. When voting proxies for plan equities, Stevens owes a fiduciary duty to:

A) the plan trustees who hired him. ✗

B) the plan participants and beneficiaries. ✓

C) the managers, stockholders, and bondholders of Colors, Inc., equally. ✗

Explanation

Under Standard III(A) Loyalty, Prudence, and Care, the fiduciary duty in this case is to plan participants and beneficiaries, not shareholders or plan trustees. (Module 58.4)

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #25 of 180

Question ID: 1417758

An analyst at Romer changes her rating on TelSky from "buy" to "hold" and sends an email explaining the change to all clients and firm brokers. Subsequently, Paul Stevens, CFA, a broker at Romer, receives a call from a client who wants to buy 15,000 shares of TelSky. Stevens must:

A) advise his client of the change in recommendation before accepting the order. ✓

B) not accept the order until the customer has had time to receive and read the new report.

C) accept the order without mentioning the ratings change because the order is unsolicited.

Explanation

According to Standard III(B) Fair Dealing, if a client places an order that goes against the firm's recommendation for that security, members and candidates should inform the client of the discrepancy between the order and the firm's recommendation before accepting the order. (Module 58.4)

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #26 of 180

Question ID: 1417770

Which of the following is one of the eight major sections of the GIPS standards for firms?

A) Independent Third-Party Verification.

B) Input Data and Calculation Methodology.

C) Guidelines for Attributing Performance to Sub-Advisers.

Explanation

Input Data and Calculation Methodology is one of the eight major sections of the GIPS standards for firms; the others are not.

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.b)

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Question #27 of 180

Question ID: 1417759

Edie Pschorr, CFA, notices that a bond is priced at 98.0 in one market and 98.4 in another market. Pschorr places an order to buy a large number of these bonds in the first market and simultaneously places an order to sell the same number of bonds in the second market. The bond's price increases to 98.2 in the first market and decreases to 98.2 in the second market. Are Pschorr's trades a violation of the Code and Standards?

A) No. ✓

B) Yes, because they violate the Standard concerning fair dealing. ✗

C) Yes, because they violate the Standard concerning market manipulation. ✗

Explanation

The trader has carried out an arbitrage transaction. Because she did not exhibit any intent to distort prices or trading volume, the member did not violate Standard II(B) Market Manipulation. Standard III(B) Fair Dealing is concerned with fair treatment of clients and is not relevant to this transaction. (Modules 58.3, 58.4)

For Further Reference:

Study Session 19, Modules 58.3, 58.4, LOS 58.a, 58.b, 58.c

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #28 of 180

Question ID: 1417765

Greg Hoffman, CFA, has been offered a cash payment by Hill Manufacturing, Inc. to write a research report on their company. According to the Code and Standards, Hoffman:

A) must disclose the nature of the compensation from Hill in his research report. ✓

B) may not accept compensation from Hill to produce research on the company. ✗

C) may produce the research report but may not make a recommendation on Hill's securities. ✗

Explanation

Standard I(B) Independence and Objectivity requires disclosure of the nature of any compensation from the subject company. Standard VI(A) Disclosure of Conflicts more generally requires disclosure of any potential conflict of interest in research reports and investment recommendations. (Modules 58.1, 58.8)

For Further Reference:

Study Session 19, Modules 58.1, 58.8, LOS 58.a, 58.b, 58.c

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #29 of 180

Question ID: 1417766

Shan Ang, CFA, is a portfolio manager at Huang Investments. Lian Jan, an old friend of Ang's, is an executive recruiter in the same city. Jan proposes that she will refer any high-level executives that she places locally to Ang, in exchange for one round of golf at Ang's country club for each new client. According to the Standard concerning referral fees, Ang would be required to disclose this referral arrangement:

A) only to all prospective clients referred by Jan. ✗

B) to his employer and all prospective clients referred by Jan. ✓

C) to all prospective clients, current clients, and his employer. ✗

Explanation

Standard VI(C) Referral Fees states that members and candidates must disclose to employers and to affected prospects and clients, before entering into any formal agreement for services, any benefits received for the recommendation of services provided by the member. (Module 58.8)

For Further Reference:

Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #30 of 180

Question ID: 1417756

Yvette Michaels, CFA, an analyst for Torborg Investments, inadvertently overhears a conversation between two executives of Collective Healthcare in which they mention an upcoming tender offer for Network, a stock she covers. Michaels has followed both companies extensively and feels their consolidation would be very beneficial for both companies. She tells her supervisor, a senior analyst, about the proposed tender offer. Michaels' actions are:

A) in violation of the Standards.

B) not in violation of the Standards because she told only her supervisor.

C) not in violation of the Standards because she has not traded shares of Network or changed her report on the company.

Explanation

Michaels has violated Standard II(A) Material Nonpublic Information. Members who possess material nonpublic information are prohibited from acting or causing others to act on that information. She may not share the information with anyone except designated supervisory or compliance employees within her firm. Disclosing to her supervisor, who is not identified as a designated supervisor of compliance issues, is not permitted. (Module 58.3)

For Further Reference:

Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #31 of 180

Question ID: 1417648

Kimberwick Technologies reported the following information for the year ending December 31.

Data	
Net sales	50,000
Cash expenses	3,250
Cash inputs	17,000
Cash taxes	7,000
Increase in receivables	500
Depreciation expense	1,000
Cash flow from investing	-5,000
Cash flow from financing	-4,250

If the cash balance increased $13,000 over the year, cash flow from operations (CFO) is *closest* to:

A) $21,250.

B) $21,750.

C) $22,250.

Explanation

The easiest way to calculate CFO here is total cash flow – cash flow from investing – cash flow from financing = $13,000 + 5,000 + 4,250 = $22,250. Alternatively, CFO = $50,000 − 3,250 − 17,000 − 7,000 − 500 = $22,250.

For Further Reference:

(Study Session 6, Module 19.2, LOS 19.f)

CFA® Program Curriculum, Volume 3, page 137

Question #32 of 180

Question ID: 1417628

A business cycle theory developed by applying utility theory and budget constraints to macroeconomic models is *most closely* associated with which school of economic thought?

A) Austrian.

B) New Classical.

C) New Keynesian.

Explanation

Real business cycle theory, which derives from applying utility theory and budget constraints to macroeconomic models, is associated with the New Classical school.

For Further Reference:

(Study Session 3, Module 11.1, LOS 11.d)

CFA® Program Curriculum, Volume 2, page 220

Question #33 of 180

Question ID: 1417607

An investor places $5,000 in an account. The stated annual interest rate is 6% compounded monthly. The value of the account at the end of three years is *closest* to:

A) $5,970.

B) $5,978.

C) $5,983.

Explanation

With more than one compounding period per year, $\mathrm{FV_n} = \mathrm{PV}\left(1 + \frac{\mathrm{r_s}}{\mathrm{m}}\right)^{\mathrm{mn}}$

PV = $5,000; r_s = 6%; m = 12; $\frac{\mathrm{r_s}}{\mathrm{m}} = \frac{6\%}{12} = 0.5\%$; n = 3; m × n = 12 × 3 = 36.

To compute FV_3, enter PV = −5,000; I = 0.5; PMT = 0; and N = 36 to get $5,983.40.

For Further Reference:

(Study Session 1, Module 1.1, LOS 1.d)

CFA® Program Curriculum, Volume 1, page 15

Question #34 of 180

Question ID: 1417642

Which of the following statements about a United States public corporation's annual reports, SEC filings, and press releases is *most accurate*?

A) Annual and quarterly SEC filings must be audited.

B) Interim SEC filings typically update the major financial statements and footnotes.

C) Annual reports to shareholders are typically the most factual and objective source of information about a company.

Explanation

Besides the annual SEC filings, an analyst should examine a company's quarterly or semiannual filings. These interim filings typically update the major financial statements and footnotes, but are not necessarily audited. Annual reports to shareholders and press releases are written by management and are often viewed as public relations or sales materials.

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.e)

CFA® Program Curriculum, Volume 2, page 502

Question #35 of 180

Question ID: 1417663

Which of the following is *most likely* a motivation for a company's management to issue low-quality financial reports?

A) Management has provided optimistic earnings guidance.

B) Oversight provided by the board of directors is weak or inadequate.

C) Accounting principles permit a wide range of acceptable treatments and estimates.

Explanation

Meeting or exceeding its own earnings guidance is a possible motivation for management to issue low-quality financial reports. Inadequate board oversight and wide ranges of acceptable accounting treatments are more appropriately viewed as opportunities for issuing low-quality financial reports.

For Further Reference:

(Study Session 8, Module 25.1, LOS 25.e)

CFA® Program Curriculum, Volume 3, page 508

Question #36 of 180

Question ID: 1417608

The initial market value of a portfolio was $100,000. One year later the portfolio was valued at $90,000 and two years later at $99,000. The geometric mean annual return excluding any dividend income is *closest* to:

A) −0.5%.

B) −0.4%.

C) 0.0%.

Explanation

R_1 = −10/100 = −10%; R_2 = +9/90 = +10%

$$\text{geometric mean} = \sqrt{(0.9)\,(1.1)} - 1 = -0.005 \text{ or } -0.5\%$$

An alternative way to get the geometric mean is:

$$\left(\frac{\text{ending value}}{\text{beginning value}}\right)^{\frac{1}{n}} - 1 = \text{geometric mean return}$$

$$\sqrt{\frac{99}{100}} - 1 = -0.005 \text{ or } -0.5\%$$

For Further Reference:

(Study Session 1, Module 2.3, LOS 2.g)

CFA® Program Curriculum, Volume 1, page 103

Question #37 of 180

Question ID: 1417641

Consider the following foreign exchange and interest rate information:

- Spot rate: 1.3382 USD/EUR.
- One year riskless USD rate = 2.5%.
- One year riskless EUR rate = 3.5%.

The one-year arbitrage-free forward exchange rate is *closest* to:

A) 1.2391 USD/EUR.

B) 1.3253 USD/EUR.

C) 1.3513 USD/EUR.

Explanation

Arbitrage-free forward rate = 1.3382 USD/EUR × (1.025 / 1.035) = 1.3253 USD/EUR.

For Further Reference:

(Study Session 4, Module 14.2, LOS 14.h)

CFA® Program Curriculum, Volume 2, page 432

Question #38 of 180

Question ID: 1417639

Other things equal, a country is *most likely* to have a current account deficit if it also has:

A) a low savings rate. ✓

B) a government budget surplus. ✗

C) a low rate of domestic investment. ✗

Explanation

As shown by the fundamental macro relationship (X – M) = (S – I) – (G – T), a current account deficit (X < M) is associated with a low savings rate, a high rate of domestic investment, or low government savings (i.e., a budget deficit).

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.i)

CFA® Program Curriculum, Volume 2, page 383

Question #39 of 180

Question ID: 1417655

Haltata Turf & Sod currently uses the first in, first out (FIFO) method to account for inventory. Due to significant tax-loss carryforwards, the company has an effective tax rate of zero. Prices are rising and inventory quantities are stable. If the company were to use last in, first out (LIFO) instead of FIFO:

A) net income would be lower and cash flow would be higher. ✗

B) cash flow would remain the same and working capital would be lower. ✓

C) gross margin would be higher and stockholder’s equity would be lower. ✗

Explanation

In the absence of taxes, there is no difference in cash flow between LIFO and FIFO. In addition, using LIFO would result in lower working capital (inventory is lower). Using LIFO would result in lower net income because of a *lower* gross margin (cost of goods sold is higher).

For Further Reference:

(Study Session 7, Module 21.5, LOS 21.l)

CFA® Program Curriculum, Volume 3, page 284

CFA® Program Curriculum, Volume 3, page 284

Question #40 of 180

Question ID: 1417665

Which of the following effects is *most likely* to occur when using ratio screens for high dividend yield stocks and low P/E stocks, respectively?

	High dividend yield	Low P/E ratios	
A)	Include too many financial services firms	Exclude too many growth firms	✔
B)	Exclude too many financial services firms	Include too many growth firms	✘
C)	Include too many financial services firms	Include too many growth firms	✘

Explanation

Screening for high dividend yield stocks will likely include a disproportionately high number of financial services firms as such firms typically have higher dividend payouts. A screen to identify firms with low P/E ratios will likely exclude growth firms from the sample as high expected earnings growth leads to high P/Es.

For Further Reference:

(Study Session 8, Module 26.2, LOS 26.d)

CFA® Program Curriculum, Volume 3, page 578

Question #41 of 180

Question ID: 1417645

The five steps required for a company to record revenue on a long-term contract are *least likely* to include:

A) identifying a customer contract.

B) receiving proportional payments.

C) identifying separate performance obligations in the contract.

Explanation

Receipt of payments is not one of the required steps described by accounting standards to recognize revenue for a long-term contract.

For Further Reference:

(Study Session 6, Module 17.2, LOS 17.b)

CFA® Program Curriculum, Volume 3, page 12

Question #42 of 180

Question ID: 1417611

The probability that an acquisition has been executed well is 48%. If it is executed well, the probability of EPS greater than \$3.20 is 55%. If the acquisition has not been executed well, the probability of EPS less than or equal to \$3.20 is 65%. The unconditional probability of EPS greater than \$3.20 is *closest to*:

A) 45%.

B) 48%.

C) 55%

Explanation

The unconditional probability, Prob(EPS>\$3.20), is equal to Prob(executed well) × Prob(EPS > \$3.20)|executed well) + Prob(not executed well) × Prob(EPS > \$3.20|not executed well) = 0.48 × 0.55 + (1 – 0.48)(1 – 0.65) = 0.446.

For Further Reference:

(Study Session 1, Module 3.2, LOS 3.g)

CFA® Program Curriculum, Volume 1, page 189

Question #43 of 180

Question ID: 1417622

A simple linear regression model produces the following outputs:

Total sum of squares	9,575.81
Mean regression sum of squares	7,115.74
Mean squared error	1,663.46

The F-statistic for this regression is *closest* to:

A) 1.3.

B) 4.3.

C) 5.8.

Explanation

The F-statistic is the ratio of the mean regression sum of squares (MSR) to the mean squared error (MSE). 7,115.74 / 1,663.46 = 4.278. (Module 7.2)

For Further Reference:

(Study Session 2, Module 7.2, LOS 7.d)

CFA® Program Curriculum, Volume 1, page 450

Question #44 of 180

Question ID: 1417625

Which of the following statements about monopolists is *most accurate*?

A) Monopolists have imperfect information about the demand curve for their product.

B) Without government intervention, monopolists will always earn economic profits.

C) A monopolist maximizes total revenue where marginal revenue equals marginal cost.

Explanation

Demand curves are not observable so a monopolist must search for the profit maximizing price. Because demand information is not perfect, a monopolist is a price searcher. The other statements are false. Although a monopolist can earn positive economic profits in the long run, they are not guaranteed; if average total costs exceed price, the monopolist will experience economic losses. A monopolist maximizes *profit*, not revenue, where marginal revenue equals marginal cost.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.e)

CFA® Program Curriculum, Volume 2, page 82

Question #45 of 180

Question ID: 1383866

A company's investments in marketable securities include a 3-year tax-exempt bond measured at amortized cost and a 5-year government note measured at fair value through other comprehensive income. On its income statement, the company should report the coupon interest received from:

A) both of these securities. ✓

B) neither of these securities. ✗

C) only one of these securities. ✗

Explanation

Interest and dividends received are reported as income, regardless of the balance sheet classification of marketable securities.

For Further Reference:

(Study Session 6, Module 18.6, LOS 18.e)

CFA® Program Curriculum, Volume 3, page 69

Question #46 of 180

Question ID: 1417635

A central bank's ability to achieve its policy goals is *most likely* to be limited by available resources when which of the following actual rates is above its target rate?

A) Interest rate. ✗

B) Inflation rate. ✗

C) Exchange rate.

Explanation

With exchange rate targeting, a central bank's ability to increase the value of the domestic currency is limited by the amount of foreign reserves the country has available to buy its own currency in the foreign exchange market. While inflation targeting and interest rate targeting have limitations (e.g., liquidity trap conditions may exist, interest rates are bounded by zero), the central bank's resources are not typically a limitation.

For Further Reference:

(Study Session 4, Module 12.2, LOS 12.n)

CFA® Program Curriculum, Volume 2, page 305

Question #47 of 180

Question ID: 1417647

Acme Corp. purchased a new stamping machine for $100,000, paid $10,000 for shipping, and paid $5,000 to have it installed in their plant. Based on an estimated salvage value of $25,000 and an economic life of six years, the difference between straight-line depreciation and double-declining balance depreciation in the second year of the asset's life is *closest* to:

A) $7,220.

B) $10,556.

C) $16,666.

Explanation

Straight line depreciation is (100,000 + 10,000 + 5,000 − 25,000) / 6 = 15,000 each year. Double-declining balance depreciation in the second year is: 115,000 (2/3)(1/3) = 25,556. The difference is $10,556. Remember that salvage value is not part of the declining balance calculation.

For Further Reference:

(Study Session 6, Module 17.3, LOS 17.d)

CFA® Program Curriculum, Volume 3, page 18

Question #48 of 180

Question ID: 1417612

An analyst develops the following probability distribution for the states of the economy and market returns.

Unconditional Probability P(A)		Conditional Probability P(B | A)	
		Bull market	50%
Good economy	60%	Normal market	30%
		Bear market	20%
		Bull market	20%
Poor economy	40%	Normal market	30%
		Bear market	50%

Which of the following statements about this probability distribution is *least accurate*?

A) The unconditional probability of a normal market is 0.30.

B) The joint probability of having a good economy and a bear market is 0.20.

C) Given that the economy is poor, the probability of a normal or a bull market is 0.50.

Explanation

P(good economy and bear market) = 0.60 × 0.20 = 0.12. The other statements are true. The P(normal market) = (0.60 × 0.30) + (0.40 × 0.30) = 0.30. Given that the economy is poor, the probability of a normal or bull market = 0.30 + 0.20 = 0.50. (Modules 3.1 and 3.2)

For Further Reference:

(Study Session 1, Modules 3.1, 3.2, LOS 3.d, 3.g

CFA® Program Curriculum, Volume 1, page 181

CFA® Program Curriculum, Volume 1, page 189

Question #49 of 180

Question ID: 1417626

What are the *most likely* effects on aggregate demand in the current period of an increase in expected future incomes and of an increase in the money supply?

A) Both increase aggregate demand.

B) Both decrease aggregate demand.

C) One increases aggregate demand and one decreases aggregate demand.

Explanation

An increase in expected future incomes will cause consumers to increase current expenditures (reduce current savings) in anticipation of the higher future incomes. An increase in the money supply will tend to decrease interest rates which will lead to increased consumer spending on durable goods and increased investment by businesses. Both effects increase aggregate demand.

For Further Reference:

(Study Session 3, Module 10.2, LOS 10.h)

CFA® Program Curriculum, Volume 2, page 147

Question #50 of 180

Question ID: 1417652

From the point of view of a financial analyst, when evaluating companies that use different inventory cost assumptions, in a period of:

A) stable prices, LIFO inventory is preferred to FIFO inventory. ✗

B) decreasing prices, FIFO inventory is preferred to LIFO inventory. ✓

C) increasing prices, FIFO cost of sales is preferred to LIFO cost of sales. ✗

Explanation

The most useful estimates of inventory and cost of sales are those that best approximate current cost. Whether prices are increasing or decreasing, FIFO provides a better estimate of inventory values, and LIFO provides a better estimate of cost of sales. If prices are stable, there is no difference between LIFO and FIFO estimates of inventory or cost of sales.

For Further Reference:

(Study Session 7, Module 21.2, LOS 21.d)

CFA® Program Curriculum, Volume 3, page 263

Question #51 of 180

Question ID: 1417613

An analyst estimates a stock has a 40% probability of earning a 10% return, a 40% probability of earning a 12.5% return, and a 20% probability of earning a 30% return. The stock's standard deviation of returns based on this returns model is *closest* to:

A) 3.74%. ✗

B) 5.75%.

C) 7.58%.

Explanation

Expected value = (0.4)(10%) + (0.4)(12.5%) + (0.2)(30%) = 15%

Variance = $(0.4)(10 - 15)^2 + (0.4)(12.5 - 15)^2 + (0.2)(30 - 15)^2 = 57.5$

$$\text{Standard deviation} = \sqrt{57.5} = 7.58\%$$

For Further Reference:

(Study Session 1, Module 3.3, LOS 3.l)

CFA® Program Curriculum, Volume 1, page 205

Question #52 of 180

Question ID: 1417615

Shortfall risk is *best* described as the probability:

A) of a credit rating downgrade due to possible earnings shortfalls.

B) of failing to make a contractually promised payment.

C) that portfolio value will fall below some minimum level at a future date.

Explanation

Choice A is downgrade risk; choice B is default risk. (Module 4.3)

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.k

CFA® Program Curriculum, Volume 1, page 265

Question #53 of 180

Question ID: 1417658

Longboat, Inc., sold a luxury passenger boat from its inventory on December 31 for $2,000,000. It is estimated that Longboat will incur $100,000 in warranty expenses during its 5-year warranty period. Longboat's tax rate is 30%. To account for the tax implications of the warranty obligation prior to incurring warranty expenses, Longboat should:

A) record a deferred tax asset of $30,000.

B) record a deferred tax liability of $30,000.

C) make no entry until actual warranty expenses are incurred.

Explanation

Warranty expense should be recorded when the inventory item covered by the warranty is sold. A deferred tax asset is created when warranty expenses are accrued on the financial statements but are not deductible on the tax returns until the warranty claims are paid. The full amount of the obligation, $100,000, is recorded as an expense, with a deferred tax asset of $30,000. Note that a deferred tax asset results when taxable income is more than pretax income and the difference is likely to reverse (warranty will be paid) in future years.

For Further Reference:

(Study Session 7, Module 23.3, LOS 23.d)

CFA® Program Curriculum, Volume 3, page 399

Question #54 of 180

Question ID: 1417632

Incorrect production decisions are *most likely* to occur when the inflation rate is:

A) lower than expected only.

B) higher than expected only.

C) either higher or lower than expected.

Explanation

Either higher-than-expected or lower-than-expected inflation can cause producers to misinterpret unexpected changes in the price level as signals of increases or decreases in demand, and produce more or less than the equilibrium quantity of output.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.g)

CFA® Program Curriculum, Volume 2, page 289

Question #55 of 180

Question ID: 1417624

Which of the following statements about elasticity is *least accurate*?

A) Both demand and supply are more elastic in the long run than in the short run.

B) When demand is inelastic, an increase in price will cause a decrease in the total expenditure on a good.

C) When the price of a product increases, consumers will reduce their consumption by a larger amount in the long run than in the short run.

Explanation

If demand is inelastic, the percentage change in quantity demanded is smaller than the percentage change in price; quantity demanded is relatively unresponsive to price changes. A price increase increases total expenditures on a good.

For Further Reference:

(Study Session 3, Module 8.1, LOS 8.a)

CFA® Program Curriculum, Volume 2, page 6

Question #56 of 180

Question ID: 1417650

The presentation format of balance sheet data that standardizes the first-year values to 1.0 and presents subsequent years' amounts relative to 1.0 is:

A) an indexed balance sheet.

B) a vertical common-size balance sheet.

C) a horizontal common-size balance sheet.

Explanation

On a horizontal common-size balance sheet, the divisor is the first-year values so they are all standardized to 1.0 by construction. Trends in the values of these items as well as the relative growth in these items are readily apparent. A vertical common-size balance sheet expresses all balance sheet accounts as a percentage of total assets and does not standardize the initial year.

For Further Reference:

(Study Session 6, Module 20.1, LOS 20.a)

CFA® Program Curriculum, Volume 3, page 176

Question #57 of 180

Question ID: 1417659

For 20X1, Belcher Motors reported a decrease in its deferred tax liabilities, a decrease in its deferred tax assets, and an increase in its valuation allowance. To an analyst, this would *most likely* suggest that the company has:

A) decreased its estimate of future profitability.

B) increased the estimated useful life of some capitalized assets.

C) increased its estimate of the period over which unearned revenue will be recognized.

Explanation

The increase in the valuation allowance tells us that the company has decreased its estimate of its future profitability and thus its ability to realize the benefits of its deferred tax assets. A longer period for recognition of unearned revenue would not affect the temporary differences reflected in deferred tax assets. Increasing the estimate of assets' useful lives would tend to slow financial statement depreciation relative to depreciation for tax, which would increase deferred tax liability going forward, other things constant. Decreases in the carrying values of both a DTL and a DTA may reflect a decrease in the tax rate.

For Further Reference:

(Study Session 7, Module 23.5, LOS 23.g)

CFA® Program Curriculum, Volume 3, page 414

Question #58 of 180

Question ID: 1417619

Which of the following statements about hypothesis testing is *most accurate*?

A) Rejecting a true null hypothesis is a Type I error.

B) The power of a test is the probability of failing to reject the null hypothesis when it is false.

C) For a one-tailed test regarding the value of parameter X, the null hypothesis would be H_0: X = 0, and the alternative hypothesis would be H_A: X ≠ 0.

Explanation

Type I error is rejecting the null hypothesis when it is true. The power of a test is the probability of rejecting the null hypothesis when it is false. H_A: X ≠ 0 indicates a two-tailed test, while H_A: X < 0 or H_A: X > 0 indicates a one-tailed test.

For Further Reference:

(Study Session 2, Module 6.1, LOS 6.c)

CFA® Program Curriculum, Volume 1, page 363

Question #59 of 180

Question ID: 1417633

Which of the following statements regarding the money supply and determination of short-term interest rates is *least accurate*?

A) On balance, growth in real GDP tends to increase the transactional demand for money. ✗

B) If the short-term interest rate is greater than the equilibrium rate, there will be excess supply of real money balances. ✗

C) An increase in the real money supply from an initial equilibrium situation will cause households and businesses to sell interest- bearing securities. ✓

Explanation

From an initial equilibrium, an increase in real money balances will leave households and businesses with more money than they wish to hold, so they will purchase interest-bearing securities, driving their prices up and yields down until a new equilibrium short-term rate is established.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.d)

CFA® Program Curriculum, Volume 2, page 278

Question #60 of 180

Question ID: 1417618

The bootstrap method of estimating the standard error of sample means involves drawing repeated samples from a data set, each with:

A) outliers removed. ✗

B) the same sample size. ✓

C) one observation removed.

Explanation

The bootstrap method involves drawing repeated samples of size n from the same data set and calculating the standard deviation of the resulting sample means. The jackknife method involves calculating multiple means from the same sample, each with one observation removed, and calculating the standard deviation of those means.

For Further Reference:

(Study Session 2, Module 5.2, LOS 5.i)

CFA® Program Curriculum, Volume 1, page 334

Question #61 of 180

Question ID: 1417646

Peri, Inc. has entered into a long-term contract to build a warehouse that includes a bonus payment of 10% of the contract value, to be paid if the building is completed by a specific date. In determining the revenue to recognize, the firm should calculate the proportion of the performance obligations fulfilled to date, and multiply that by the contract value:

A) not including the bonus.

B) including the bonus if it is probable they will receive it.

C) including the bonus only if they are certain they will receive it.

Explanation

Revenue recognition standards require that firm conclude that they will not have to reverse any cumulative revenue recognized, as they would have to if the bonus is not received. If nonreversal is only probable, they should not include the bonus in calculating revenue.

For Further Reference:

(Study Session 6, Module 17.2, LOS 17.c)

CFA® Program Curriculum, Volume 3, page 12

Question #62 of 180

Question ID: 1417649

An analyst gathered the following data about a company:

- Collections from customers are $5,000.
- Depreciation is $800.
- Cash expenses (including taxes) are $2,000.
- Tax rate = 30%.
- Net cash increased by $1,000.

If inventory increases over the period by $800, cash flow from operations equals:

A) $1,600.

B) $2,400.

C) $3,000.

Explanation

Use the direct method.

Collections from customers	$5,000
Cash expenses	–$2,000
Cash flow from operations	$3,000

Cash expenses are given. If you had been given COGS, you would need to adjust that for inventory changes to get cash expenses for inputs. Depreciation is a non-cash change.

Changes in depreciation are used with the indirect method. Net change in cash will reflect CFI and CFF, not just CFO.

For Further Reference:

(Study Session 6, Module 19.2, LOS 19.f)

CFA® Program Curriculum, Volume 3, page 137

Question #63 of 180

Question ID: 1417654

Greene Company discloses that its net income for the most recent period was reduced by a writedown of inventory to net realizable value. What effect is the inventory writedown *most likely* to have on Greene's net income in future periods?

A) Increase.

B) Decrease.

C) No effect.

Explanation

In future periods, lower-valued inventory will result in lower cost of sales and higher net income.

For Further Reference:

(Study Session 7, Module 21.4, LOS 21.h)

CFA® Program Curriculum, Volume 3, page 275

Question #64 of 180

Question ID: 1417637

Automatic stabilizers are government programs that require no legislation and tend to:

A) automatically increase spending at the same growth rate as real GDP.

B) reduce interest rates, thus stimulating aggregate demand.

C) change the government budget deficit in an opposite direction to economic growth.

Explanation

Automatic stabilizers are built-in features that tend to automatically promote a budget deficit during a recession and a budget surplus during an inflationary boom, without a change in policy.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.o)

CFA® Program Curriculum, Volume 2, page 311

Question #65 of 180

Question ID: 1417610

The odds for an event occurring are calculated by dividing:

A) one by the probability that the event occurs.

B) the probability that the event does not occur by the probability that an event occurs.

C) the probability that the event occurs by the probability that the event does not occur.

Explanation

If *p* is the probability that an event occurs, then the odds for the event occurring are expressed as p / (1 – p), or the probability that the event occurs divided by the probability that the event does not occur. The odds against the event are expressed as the reciprocal of the odds for the event.

For Further Reference:

(Study Session 1, Module 3.1, LOS 3.c)

CFA® Program Curriculum, Volume 1, page 178

Question #66 of 180

Question ID: 1417609

Which of the following statements about return distributions is *most accurate*?

A) With positive skewness, the median is greater than the mean. ✗

B) If skewness is positive, the average magnitude of positive deviations from the mean is smaller than the average magnitude of negative deviations from the mean. ✗

C) If a return distribution has positive excess kurtosis and the analyst uses statistical models that do not account for the fatter tails, the analyst will underestimate the likelihood of extreme outcomes. ✓

Explanation

If a return distribution has positive excess kurtosis, statistical models that do not account for the fatter tails will underestimate the likelihood of very bad or very good outcomes. A distribution with positive skewness will have a mean greater than the median and larger average positive deviations than average negative deviations. (Module 2.5)

For Further Reference:

(Study Session 1, Module 2.5, LOS 2.l)

(Study Session 1, Module 2.5, LOS 2.m)

CFA® Program Curriculum, Volume 1, page 136

CFA® Program Curriculum, Volume 1, page 139

Question #67 of 180

Question ID: 1417660

Compared to reporting in a country where life insurance payments on key employees are deductible for tax, a company that makes such payments and reports in a country in which they are not tax deductible would report:

A) a lower statutory tax rate.

B) a higher effective tax rate.

C) a greater deferred tax asset.

Explanation

In the case where insurance premiums paid are not tax deductible, taxes would be higher so the effective tax rate (tax expense / pretax income) would be higher. Expenses on the income statement that are not deductible for tax and will not reverse are permanent differences and will not affect deferred tax items.

For Further Reference:

(Study Session 7, Module 23.5, LOS 23.i)

CFA® Program Curriculum, Volume 3, page 418

Question #68 of 180

Question ID: 1417627

An economy is in full-employment equilibrium. If the government unexpectedly decreases the tax rate, the economy is *most likely* to experience:

A) an increase in employment in the short run.

B) a decrease in the price level in the short run.

C) no change in employment in the short run.

Explanation

Short-run equilibrium may occur above full employment, for example as a result of an increase in aggregate demand caused by a decrease in taxes. Both employment and the price level increase in the short run. Above-full employment causes upward pressure on wages that will reduce short-run aggregate supply until, in the long run, output returns to its full-employment level with a still-higher equilibrium price level.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.k)

CFA® Program Curriculum, Volume 2, page 160

Question #69 of 180

Question ID: 1417651

Which of the following is *most likely* presented on a common-size balance sheet or common-size income statement?

A) Total asset turnover.

B) Operating profit margin.

C) Return on common equity.

Explanation

Operating profit margin can be read directly from a common-size income statement. Asset turnover and return on equity mix balance sheet and income statement items. (Module 20.3)

For Further Reference:

(Study Session 6, Module 20.3, LOS 20.b)

CFA® Program Curriculum, Volume 3, page 197

Question #70 of 180

Question ID: 1417621

Ethyl Redd supervises an equity research team. Redd compiles the following contingency table of recommendations from her fundamental and technical analysts:

		Fundamental Analysts		
		Buy	Hold	Sell
Technical Analysts	Buy	28	12	4
	Hold	11	19	7
	Sell	6	11	14

Using the data from this contingency table, Redd can *most likely* test the hypothesis that her fundamental and technical analysts' recommendations are:

A) independent.

B) uncorrelated.

C) dispersed equally.

Explanation

Tests of independence are based on contingency tables. The analyst would use the actual observations in the contingency table to calculate the expected observations in each cell if the analysts' recommendations were independent, then calculate a chi-square statistic to test the hypothesis that the recommendations are independent. Independent variables are uncorrelated, but uncorrelated (no linear relationship) variables are not necessarily independent. (Module 6.4)

For Further Reference:

(Study Session 2, Modules 6.4, LOS 6.m

CFA® Program Curriculum, Volume 1, page 404

Question #71 of 180

Question ID: 1417631

Pat Bannerman is analyzing economic indicators to form an opinion on whether an economic contraction has ended. Which of the following turning points should Bannerman *most appropriately* interpret as a coincident indicator suggesting economic growth is entering the early stage of a new expansion?

A) Real personal income has begun increasing. ✔

B) The unemployment rate has begun decreasing. ✘

C) Building permits for new houses have begun increasing. ✘

Explanation

Real personal income is a coincident indicator with turning points that tend to coincide with business cycle turning points. The unemployment rate is a lagging indicator, here suggesting an expansion has been underway for some time. Building permits are a leading indicator because builders may seek permits in anticipation of an economic expansion that has not begun yet.

For Further Reference:

(Study Session 3, Module 11.2, LOS 11.e)

CFA® Program Curriculum, Volume 2, page 227

Question #72 of 180

Question ID: 1417640

Three years ago, the U.S. dollar/euro exchange rate was 1.32 USD/ EUR. Over the last three years, the price level in the United States has increased by 18%, and the price level in the eurozone has increased by 12%. If the current exchange rate is 1.40 USD/EUR, the real exchange rate over the period has:

A) increased, and eurozone goods are now more expensive to U.S. consumers. ✔

B) decreased, and eurozone goods are now more expensive to U.S. consumers. ✘

C) increased, and U.S. goods are now more expensive to eurozone consumers. ✘

Explanation

For the base period, three years ago, the real exchange rate is the same as the nominal exchange rate, 1.32 USD/EUR. The real exchange rate over the period has changed from 1.32 to 1.40 × (112 / 118) = 1.3288. This increase in the real USD/EUR exchange rate indicates that the base currency (EUR) has appreciated in real terms, so that eurozone goods are now more expensive in real terms to U.S. consumers.

For Further Reference:

(Study Session 4, Module 14.1, LOS 14.a)

CFA® Program Curriculum, Volume 2, page 406

Question #73 of 180

Question ID: 1417643

Which of the following items is *least likely* to contain details about various accruals, adjustments, balances, and management assumptions?

A) Income statement. ✔

B) Supplementary schedules. ✘

C) Discussion and analysis by management. ✘

Explanation

The income statement reports the amounts for each of the major line items within the general categories of revenues and expenses. The various accruals, adjustments, and management assumptions are implicit in the reported amounts but are not specifically explained in the income statement. Much of the detail contained in various accruals, adjustments, and management assumptions that go into the financial statements can be found in the footnotes to the statements and Management's Discussion and Analysis. Supplementary schedules contain additional information, including a more detailed breakdown of certain large account balances.

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.c)

CFA® Program Curriculum, Volume 2, page 495

Question #74 of 180

Question ID: 1417656

As a result of a recent acquisition, Lombard, Inc., has placed the following items on their balance sheet as of the beginning of their fiscal year:

Goodwill	$30 million	
Patent	$10 million	Expires in 10 years.
Trademark	$15 million	Expires in 15 years, renewable at minimal cost.

If Lombard amortizes intangible assets using the straight line method, the amortization expense on these assets for the fiscal year will be:

A) $1 million. ✓

B) $2 million. ✗

C) $3 million. ✗

Explanation

Goodwill has an indefinite life and is not amortized. A trademark or other intangible asset that has an expiration date but is renewable at minimal cost is treated as having an indefinite life and is not amortized. The patent has a finite life and its cost will be amortized at the rate of $1 million each year over ten years under the straight-line method.

For Further Reference:

(Study Session 7, Module 22.2, LOS 22.f)

CFA® Program Curriculum, Volume 3, page 351

Question #75 of 180

Question ID: 1417616

An investment with an initial cost of $30,000 is sold for $60,000 after two years. The annual return on a continuously compounded basis is *closest to*:

A) 35%.

B) 38%.

C) 40%.

Explanation

The two-year holding period return is +100%. The effective annual rate is $(1 + 1.00)^{1/2} - 1 = 41.42\%$. The equivalent annual rate of interest on a continuously compound basis is ln(1.4142) = 34.66%. Alternatively, we can calculate the two-year continuously compounded rate as ln(2) = 69.31% and divide by two to get 34.66%.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.m)

CFA® Program Curriculum, Volume 1, page 272

Question #76 of 180

Question ID: 1417644

According to the IASB Conceptual Framework for Financial Reporting, what are the two fundamental qualitative characteristics of financial statements?

A) Timeliness and comparability.

B) Verifiability and understandability.

C) Relevance and faithful representation.

Explanation

The IASB Conceptual Framework for Financial Reporting describes the two fundamental qualitative characteristics of financial statements as relevance and faithful representation. The Conceptual Framework lists timeliness, comparability, verifiability, and understandability as characteristics that enhance relevance and faithful representation.

For Further Reference:

(Study Session 5, Module 16.2, LOS 16.c)

CFA® Program Curriculum, Volume 2, page 524

Question #77 of 180

Question ID: 1417653

A firm uses the first-in first-out (FIFO) cost flow assumption. Compared to gross profit with a periodic inventory system, the firm's gross profit with a perpetual inventory system would be:

A) lower.

B) higher.

C) the same.

Explanation

For a firm using FIFO, gross profit is the same whether the firm uses a periodic or perpetual inventory system. For a firm using LIFO or average cost, gross profit can be different depending on the choice of inventory system.

For Further Reference:

(Study Session 7, Module 21.2, LOS 21.c)

CFA® Program Curriculum, Volume 3, page 258

Question #78 of 180

Question ID: 1417634

The Fisher effect describes the relationship among:

A) savings, investment, the fiscal balance, and the trade balance.

B) credit expansion, investor expectations, and the business cycle.

C) nominal interest rates, real interest rates, and expected inflation.

Explanation

The Fisher effect states that a nominal interest rate is the sum of a real interest rate and the expected inflation rate.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.e)

CFA® Program Curriculum, Volume 2, page 278

Question #79 of 180

Question ID: 1417661

A permanent difference between pretax and taxable income is *least likely* to arise when a firm:

A) receives tax-exempt interest.

B) uses the installment sales method for financial reporting.

C) pays premiums on life insurance of key employees.

Explanation

The installment sales method of revenue recognition does not result in permanent differences between pretax and taxable income. Premium payments on life insurance of key employees is an expense on the financial statements, but is not deducted on tax returns. Tax exempt interest is recognized as revenue on the financial statements. These items result in permanent differences between pretax income and taxable income.

For Further Reference:

(Study Session 7, Module 23.5, LOS 23.f)

CFA® Program Curriculum, Volume 3, page 408

Question #80 of 180

Question ID: 1417657

Clement Company has revalued an intangible asset with an indefinite life upward by €25 million. In its financial statements, Clement will *most likely*:

A) disclose how it determined the fair value of the intangible asset.

B) report lower net income in subsequent periods because of increased amortization expense on the asset.

C) report higher assets, net income, and shareholders' equity in the most recent period than it would have reported under the cost model.

Explanation

For firms that revalue assets upward, IFRS requires disclosure of the date the asset was revalued, how management determined its fair value, the asset's carrying value using the historical cost model, and (for intangible assets) whether the asset's useful life is finite or indefinite. Although assets and shareholders' equity will increase as a result of the revaluation, net income will not increase. The increase in the value of the asset is reported as a revaluation surplus in shareholders' equity. Amortization expense will not increase because indefinite-lived intangible assets are not amortized.

For Further Reference:

(Study Session 7, Module 22.4, LOS 22.l)

CFA® Program Curriculum, Volume 3, page 363

Question #81 of 180

Question ID: 1417614

An investment manager wants to select three analysts from a group of six analysts to receive first-, second-, and third-place awards for outstanding performance. In how many ways can the investment manager make the three awards?

A) 20 ways. ✗

B) 54 ways. ✗

C) 120 ways. ✓

Explanation

When order of selection matters, as it does here, use the permutation formula:

$${}_{n}P_{r} = \frac{n!}{(n-r)!}$$

${}_{n}P_{r}$ = 6! / (6 – 3)! = (6 × 5 × 4 × 3 × 2 × 1) / (3 × 2 × 1) = (6 × 5 × 4) = 120

For Further Reference:

(Study Session 1, Module 3.3, LOS 3.n)

CFA® Program Curriculum, Volume 1, page 214

Question #82 of 180

Question ID: 1417623

Partial table of Student's t-distribution:

Level of Significance for a Two-Tailed Test						
df	0.20	0.10	0.05	0.02	0.01	0.001
23	1.319	1.714	2.069	2.500	2.807	3.768
24	1.318	1.711	2.064	2.492	2.797	3.745
25	1.316	1.708	2.060	2.485	2.787	3.725

From a sample of 25 paired observations, an analyst generates the simple linear regression line $\widehat{\mathrm{Y}_\mathrm{i}} = -25 + 49\mathrm{X}_\mathrm{i}$. The standard error of the forecast is 16. For an observed value of X equal to 5, a 95% confidence interval for the predicted value of Y is *closest* to:

A) 16 to 82.

B) 187 to 253.

C) 218 to 272.

Explanation

The predicted value of Y is –25 + 49(5) = 220. With n – 2 = 23 degrees of freedom, the critical *t*-value for a 95% confidence interval is 2.069. The confidence interval is 220 ± 2.069(16) = 186.9 to 253.1. (Module 7.3)

For Further Reference:

(Study Session 2, Module 7.3, LOS 7.g)

CFA® Program Curriculum, Volume 1, page 463

Question #83 of 180

Question ID: 1417617

A researcher has data on the 20 largest firms in each state and samples the data by choosing 20 states at random and then selecting 10 firms at random from each of the samples. Her sampling method is referred to as:

A) cluster sampling.

B) convenience sampling.

C) stratified random sampling.

Explanation

The procedure described is an example of two-stage cluster sampling. With stratified random sampling, all subsets of the data (all states) would be included, and random samples would be selected from each. Convenience sampling is based on the low cost or easy availability of the data used.

For Further Reference:

(Study Session 2, Module 5.1, LOS 5.c)

CFA® Program Curriculum, Volume 1, page 306

Question #84 of 180

Question ID: 1417664

In a period of rising prices, management of a company that reports under IFRS is *least likely* to attempt to influence analysts' opinions of its financial results by:

A) liquidating inventory. ✓

B) increasing the useful lives of assets. ✗

C) emphasizing earnings that exclude nonrecurring costs. ✗

Explanation

During periods of rising prices, liquidating inventory is a potential way for companies that use the LIFO inventory cost method to report higher current-period earnings, but LIFO is not permitted under IFRS. Managers attempting to influence analysts' opinions may manipulate accounting assumptions or emphasize non-GAAP measures in their financial reports.

For Further Reference:

(Study Session 8, Module 25.3, LOS 25.i)

CFA® Program Curriculum, Volume 3, page 544

Question #85 of 180

Question ID: 1417629

An unexpected increase in businesses' inventory-to-sales ratios is *most likely* to occur as an economy:

A) reaches a trough. ✗

B) enters a contraction phase. ✗

C) approaches the peak of an expansion. ✓

Explanation

At the end or peak of an expansion, economic activity begins to slow, sales are less than planned, and excess inventory accumulates, increasing inventory-to-sales ratios. To reduce inventory-to-sales ratios to desired levels, firms decrease production, which is one of the causes of a contraction.

For Further Reference:

(Study Session 3, Module 11.1, LOS 11.c)

CFA® Program Curriculum, Volume 2, page 209

Question #86 of 180

Question ID: 1417630

Relative to economic cycles, credit cycles:

A) coincide with economic cycles.

B) tend to dampen economic cycles.

C) have historically been longer than economic cycles.

Explanation

Economic cycles and credit cycles do not always coincide. On average, credit cycles have historically been longer than economic cycles. Data suggest that credit cycles may amplify economic cycles.

For Further Reference:

(Study Session 3, Module 11.1, LOS 11.b)

CFA® Program Curriculum, Volume 2, page 207

Question #87 of 180

Question ID: 1417636

A change from a neutral monetary policy to a contractionary monetary policy is *most likely* to be reflected in the economy by:

A) decreases in price for financial assets.

B) decreased lending rates in the banking system.

C) depreciation of the domestic currency in the foreign exchange market.

Explanation

Contractionary monetary policy typically results in increased interest rates, which decrease the prices of financial assets by decreasing the present value of future cash flows. Increasing interest rates typically cause the domestic currency to appreciate.

For Further Reference:

(Study Session 4, Module 12.2, LOS 12.i)

CFA® Program Curriculum, Volume 2, page 291

Question #88 of 180

Question ID: 1417620

Which is the correct test statistic for a test of the null hypothesis that a population variance is equal to a chosen value?

A) *F*-statistic.

B) *t*-statistic.

C) Chi-square statistic.

Explanation

This is a test of the value of a single variance and is based on a test statistic with a performed via the chi-square distribution. (Module 6.3)

For Further Reference:

(Study Session 2, Module 6.3, LOS 6.j)

CFA® Program Curriculum, Volume 1, page 388

Question #89 of 180

Question ID: 1417662

Yamaska Mining issued a 5-year, $50 million face, 6% semiannual bond when market interest rates were 7%. The market yield of the bonds was 8% at the beginning of the next year. Using the effective interest rate method, what is the initial balance sheet liability, and what is the interest expense that the company should report for the first half of the second year of the bond's life (the third semiannual period)?

	Initial liability	Interest expense, first half of year 2
A)	$47,920,849	$1,689,853

B)	$47,920,849	$1,750,000
C)	$50,000,000	$1,500,000

Explanation

This is a discount bond since the market interest rate at issuance exceeds the coupon rate. The initial liability is equal to the proceeds received when the bond was issued. We can find this amount from the following calculation: FV = 50,000,000; N = 10; I = 3.5; PMT = 1,500,000; CPT → PV = $47,920,848.67. Change N to 8 and calculate PV to get liability value at the beginning of the second year of the bond's life, 48,281,511. Interest expense for the next semiannual period is 48,281,511(0.035) = $1,689,853. The subsequent change in the market rate has no effect on the amortization of the discount.

For Further Reference:

(Study Session 7, Module 24.2, LOS 24.b)

CFA® Program Curriculum, Volume 3, page 440

Question #90 of 180

Question ID: 1417638

Which of the following conditions is *most likely* to result in expansionary effects from fiscal policy being felt when an economic expansion is already underway?

A) Slow economic growth is being caused by supply shortages rather than low aggregate demand.

B) Expansionary fiscal policy requires policymakers to recognize an economic contraction and enact legislation.

C) Government borrowing to finance expansionary spending is increasing interest rates faced by private sector borrowers.

Explanation

Fiscal policy takes effect with a lag due to the time it takes for policymakers to recognize the business cycle stage (recognition lag) and enact legislation to change fiscal policy (action lag), and the time it takes for individuals and businesses to react to the policy changes (impact lag). As a result of these lags, fiscal policy changes may result in pro-cyclical rather than countercyclical effects. Supply shortages and higher interest rates as a result of government borrowing (the crowding-out effect) both act to reduce the expansionary effect of expansionary fiscal policy but are not related directly to its time lags.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.r)

CFA® Program Curriculum, Volume 2, page 326

Question #91 of 180

Question ID: 1417754

A financial firm employs machine learning to model its risk exposures. The machine identifies a number of risk relationships in the input data, but the firm's management believes some of these relationships are spurious. If so, it is *most likely* that the model:

A) exhibits overfitting. ✓

B) treats true parameters as noise. ✗

C) is not complex enough to describe the data. ✗

Explanation

Spurious relationships and patterns are likely to result from overfitting, which describes a model that is too complex and treats noise as true parameters.

For Further Reference:

(Study Session 18, Module 55.1, LOS 55.c)

CFA® Program Curriculum, Volume 6, page 233

Question #92 of 180

Question ID: 1417744

On average, which of the following types of investors has the shortest investment horizon?

A) Endowment fund. ✗

B) Defined benefit plan.

C) Property and casualty insurer.

Explanation

Property and casualty insurers may need to distribute funds at any time if a disaster occurs. Endowment funds have a very long horizon, as they are often expected to operate in perpetuity with only annual distributions representing a relatively small percentage of the fund value. Defined benefit plans have an investment horizon based on the years to retirement of currently covered workers and the years they (and their beneficiaries) are expected to live after retirement.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.b)

CFA® Program Curriculum, Volume 5, page 415

Question #93 of 180

Question ID: 1417679

Under Modigliani and Miller's assumptions and with no taxes, the value of a firm is:

A) unaffected by its capital structure.

B) maximized with an all-debt capital structure.

C) maximized with an all-equity capital structure.

Explanation

Under Modigliani and Miller's assumptions, in the absence of taxes a firm's capital structure does not affect its value. If taxes exist while the rest of their assumptions hold, Modigliani and Miller conclude a firm would finance itself entirely with debt to maximize its value.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.b)

CFA® Program Curriculum, Volume 4, page 47

Question #94 of 180

Question ID: 1417674

The type of short-term financing for which the financing cost is most closely tied to the creditworthiness of a firm's customers is:

A) factoring. ✓

B) issuing commercial paper. ✗

C) an uncommitted line of credit. ✗

Explanation

Factoring refers to the sale of receivables without recourse; that is, the risk that the firm's customers will not pay, or will not pay in a timely manner, is borne by the factor, who purchases the receivables. Thus, the amount the factor will pay per dollar of receivables is lower (higher discount or interest rate) if the credit quality of the firm's credit customers is lower. The cost of issuing commercial paper or borrowing on a line of credit is more closely tied to the creditworthiness of the borrowing firm itself.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.a)

CFA® Program Curriculum, Volume 3, page 670

Question #95 of 180

Question ID: 1417682

Smith Company's earnings per share are more sensitive to changes in operating income than are those of Jones Company. This implies that Smith Company has a higher degree of:

A) total leverage. ✗

B) financial leverage. ✓

C) operating leverage. ✗

Explanation

The degree of financial leverage (DFL) is the percent change in earnings per share for a given percent change in operating income. The degree of operating leverage (DOL) is the percent change in operating income for a given percent change in sales. The degree of total leverage (DTL) is the percent change in earnings per share for a given percent change in sales, and is the product of DOL and DFL. Based on the information given, Smith has a higher DFL than Jones, but we cannot conclude that Smith has a higher DTL than Jones.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.b)

CFA® Program Curriculum, Volume 4, page 90

Question #96 of 180

Question ID: 1417747

A portfolio is invested 30% in Asset A with the remainder invested in Asset B. Asset A has an expected return of 6% and variance of returns of 0.031, while Asset B has an expected return of 7% and variance of returns of 0.045. The covariance between the returns of the two assets is 0.03735. The standard deviation of returns for the portfolio is *closest* to:

A) 18%.

B) 20%.

C) 22%.

Explanation

The correlation between the returns of the two assets is:

$$\frac{\text{Cov}_{\text{AB}}}{\sigma_{\text{A}}\sigma_{\text{B}}} = \frac{0.03735}{\sqrt{0.031} \times \sqrt{0.045}} = 1$$

Therefore, the standard deviation of the portfolio returns is a weighted average of the standard deviations of returns for the two assets:
$0.3\sqrt{0.031} + 0.7\sqrt{0.045} = 20.13\%$

Since the correlation of returns is +1, there are no diversification benefits.

For Further Reference:

(Study Session 17, Module 49.3, LOS 49.f)

CFA® Program Curriculum, Volume 5, page 476

Question #97 of 180

Question ID: 1417678

If flotation costs are treated correctly in calculating the net present value of a project that will begin in the current period, the flotation costs are *most likely*:

A) included in the initial outlay.

B) reflected in the discount rate used for the project.

C) included in the cost of the capital raised.

Explanation

The correct treatment of flotation costs according to the CFA Curriculum is to include their cost in the initial cash outflow of the project. Since flotation costs are included in the initial outlay, they decrease the NPV by an amount that is unaffected by the discount rate, and the discount rate and cost of capital are not adjusted for flotation costs.

For Further Reference:

(Study Session 10, Module 30.2, LOS 30.g)

CFA® Program Curriculum, Volume 4, page 22

Question #98 of 180

Question ID: 1417749

The risk-free rate is 5% and the expected market risk premium is 10%. A portfolio manager is projecting a return of 20% on a portfolio with a beta of 1.5. After adjusting for its systematic risk, this portfolio is expected to:

A) equal the market's performance. ✓

B) outperform the market. ✗

C) underperform the market. ✗

Explanation

Based on the CAPM, the portfolio should earn: E(R) = 0.05 + 1.5(0.10) = 20%. On a risk-adjusted basis, this portfolio lies on the security market line (SML) and thus is earning a risk-adjusted rate of return equivalent to that of the market portfolio.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.g)

CFA® Program Curriculum, Volume 5, page 541

Question #99 of 180

Question ID: 1417752

A distinction between cognitive errors and emotional biases is that cognitive errors:

A) are more likely to be mitigated through education than emotional biases. ✓

B) are essentially processing errors, while emotional biases tend to involve belief perseverance. ✗

C) typically lead to errors of commission, while emotional biases typically lead to errors of omission.

Explanation

While an investment advisor might have success in mitigating cognitive errors through educating clients, emotional biases are more difficult to overcome and may need to be accommodated. Processing errors and belief perseverance both describe cognitive errors. There is no support for the idea that cognitive errors typically lead to errors of commission while emotional biases typically lead to errors of omission.

For Further Reference:

(Study Session 18, Module 52.1, LOS 52.a)

CFA® Program Curriculum, Volume 6, page 50

Question #100 of 180

Question ID: 1417669

Which of the following investments is *least likely* to be evaluated using traditional capital allocation analysis? Investing:

A) $100 million for the research and development of new paint products.

B) $200 million in equipment to reduce carbon output rather than pay daily fines.

C) $75 million to expand production and sales into a neighboring country.

Explanation

Some research and development projects may involve such a high degree of risk that they are very difficult to evaluate using traditional capital budgeting methods. Replacement projects and mandatory environmental projects can typically be evaluated with the usual capital budgeting techniques.

For Further Reference:

(Study Session 9, Module 28.1, LOS 28.a)

CFA® Program Curriculum, Volume 3, page 645

Question #101 of 180

Question ID: 1417666

Reviewing the performance and independence of board members is a responsibility of:

A) the audit committee.

B) the nominations committee.

C) the compensation committee.

Explanation

The nominations committee is responsible for reviewing the performance, independence, skills, and experience of board members, as well as for recruiting new board members and creating board nomination policies.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.f)

CFA® Program Curriculum, Volume 3, page 615

Question #102 of 180

Question ID: 1417753

A manager states that the objectives of a firm's risk management process should be to:

- Identify the firm's risk tolerance.
- Identify and measure risks faced by the organization.
- Minimize or eliminate these risks.

Which of these objectives is *least appropriate* in a risk management process?

A) Identifying risk tolerance.

B) Identifying and measuring risks.

C) Minimizing or eliminating risks.

Explanation

Not all risks should be minimized or eliminated. A firm might choose to increase its exposure to some identified risks if it can profit from its ability to manage them.

For Further Reference:

(Study Session 18, Module 53.1, LOS 53.a)

CFA® Program Curriculum, Volume 6, page 85

Question #103 of 180

Question ID: 1417676

A company that wishes to reduce its operating cycle would *most* appropriately increase its:

A) receivables turnover.

B) days of inventory on hand.

C) number of days of payables.

Explanation

A higher receivables turnover ratio is equivalent to a decrease in days of receivables outstanding, which will reduce a firm's operating cycle. An increase in days of inventory on hand will increase a firm's operating cycle. Changes in days of payables outstanding will not affect a firm's operating cycle.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #104 of 180

Question ID: 1417672

Which of the following project analysis decisions *most likely* represents a common capital allocation pitfall?

A) Comparing mutually exclusive projects based on their net present values.

B) Incorporating competitors' likely responses to the launch of a new product.

C) Including a standard allocation of administrative overhead in the initial cost.

Explanation

Only incremental overhead costs related to a project should be included in the analysis. Comparing mutually exclusive projects based on NPV is appropriate, as is incorporating competitors' expected economic responses into the project analysis. (Module 28.3)

For Further Reference:

(Study Session 9, Module 28.3, LOS 28.e)

CFA® Program Curriculum, Volume 3, page 659

Question #105 of 180

Question ID: 1379734

Open-end mutual funds differ from closed-end funds in that:

A) open-end funds stand ready to redeem their shares, while closed-end funds do not.

B) closed-end funds require active management, while open-end funds do not.

C) open-end funds issue shares that are then traded in secondary markets, while closed-end funds do not.

Explanation

Open-end funds redeem existing shares or issue new shares in accordance with investor demand. Closed-end fund shares are fixed in number and trade on exchanges as though they were common stock.

For Further Reference:

(Study Session 17, Module 48.2, LOS 48.f)

CFA® Program Curriculum, Volume 5, page 425

Question #106 of 180

Question ID: 1417668

In the context of corporate governance, which of the following would *most likely* be an example of full integration?

A) Including governance factors in estimating future cash flows.

B) Having both internal and external stakeholders on the board of directors.

C) Instituting a comprehensive framework for managing conflicts of interest among all of a company's stakeholders.

Explanation

Full integration refers to including ESG factors when analyzing company fundamentals, such as estimating cash flows.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.k)

CFA® Program Curriculum, Volume 3, page 632

Question #107 of 180

Question ID: 1417670

Timely Taxis, Ltd. has signed a long-term lease for 20 underground parking spots at $150 each per month for its fleet of taxis. The firm currently has 18 taxis in operation and is performing an NPV analysis on the purchase of a 19th taxi. The cost of parking for the 19th taxi is *best* described as:

A) a sunk cost.

B) an opportunity cost.

C) an incremental cost.

Explanation

The 19th space is neither an incremental cost, nor an opportunity cost or a type of cannibalization. It is a sunk cost since the firm has already committed to parking for 20 taxis. The cost of the 19th parking space is not directly relevant to the capital allocation decision.

For Further Reference:

(Study Session 9, Module 28.1, LOS 28.a)

CFA® Program Curriculum, Volume 3, page 645

Question #108 of 180

Question ID: 1417680

The stakeholders of a firm who are *most likely* to favor funding expansion though debt issuance rather than equity issuance are:

A) controlling shareholders.

B) suppliers of specialized products.

C) managers whose compensation is mostly cash.

Explanation

Controlling shareholders may favor debt issuance over additional equity share issuance, which could dilute their controlling stake. While managers whose compensation includes significant stock options may favor a capital structure that increases firm risk, managers whose compensation is mostly cash are likely to favor less risk to secure the firm's ongoing survival. Suppliers of specialized products to the firm also have an interest in the firm's survival and are unlikely to favor greater financial risk.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.e)

CFA® Program Curriculum, Volume 4, page 65

Question #109 of 180

Question ID: 1417746

Which of the following types of institutions is *most likely* to have the lowest risk tolerance?

A) Commercial bank. ✓

B) College endowment. ✗

C) Mutual fund company. ✗

Explanation

Banks typically need to maintain excess reserves in order to meet regulatory requirements. As a result, a bank must invest in assets that are more conservative than those invested by other types of financial institutions. An endowment will usually have significant long-term spending requirements in addition to its current expenses. Thus, a college endowment should accept higher risk in order to attain the returns indicated by its mandate. A mutual fund company may invest in many types of securities depending on the type of funds being managed. Investments may range from conservative money market funds to more aggressive derivatives. Therefore, a mutual fund company's level of risk tolerance may be greater than or less than those of a bank or endowment.

For Further Reference:

(Study Session 17, Module 49.1, LOS 49.c)

CFA® Program Curriculum, Volume 5, page 459

Question #110 of 180

Question ID: 1417745

Under which type of pension plan are retirement benefit payments an obligation of the sponsoring firm?

A) Defined benefit plan only. ✓

B) Defined contribution plan only. ✗

C) Both a defined benefit plan and a defined contribution plan. ✗

Explanation

Promised retirement payments from a defined benefit pension plan are an obligation of the sponsoring firm. A defined contribution plan does not promise a specific periodic payment after retirement and the firm's obligations are limited to its promised contributions to current employees' accounts.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.c)

CFA® Program Curriculum, Volume 5, page 419

Question #111 of 180

Question ID: 1417671

Wreathfield, Inc., is choosing between two mutually exclusive projects. The cash flows for the two projects are below. The firm has a cost of capital of 12%, and the risk of the projects is equivalent to the average risk of the firm.

	0	1	2	3	4	5	6
Project J:	–12,000	4,000	5,000	6,000			
Project K:	–20,000	3,000	3,000	3,000	5,000	8,000	8,000

Wreathfield should accept:

A) Project J.

B) Project K.

C) Neither project J nor project K.

Explanation

The firm should reject both projects.

	0	1	2	3	4	5	6
Project J:	–$12,000	$4,000	$5,000	$6,000			
Project K:	–$20,000	$3,000	$3,000	$3,000	$5,000	$8,000	$8,000

Project J: I/Y = 12; CF_0 = (12,000); CF_1 = 4,000; CF_2 = 5,000; CF_3 = 6,000; CPT → NPV = –172.

Project K: same process. NPV = –1,025.

For Further Reference:

(Study Session 9, Module 28.2, LOS 28.b)

CFA® Program Curriculum, Volume 3, page 651

Question #112 of 180

Question ID: 1417751

Marcia Kostner, CFA, is an advisor to individual investors. To determine each of her clients' risk tolerance objectively, Kostner uses a mathematical formula with inputs that include the client's age, family size, insurance coverage, liquidity, income, and net worth. What is the *most likely* shortcoming of Kostner's approach to assessing risk tolerance?

A) Net worth is unrelated to an investor's risk tolerance.

B) This approach does not consider the investor's attitude toward risk.

C) Treating clients differently based on their ages violates the Code and Standards.

Explanation

When determining an investor's risk tolerance, an advisor should analyze the investor's personal situation, but should also gauge the investor's attitude toward risk. Risk tolerance is affected by the investor's psychological profile (i.e., willingness to take risk) as well as by the investor's ability to take risk. Age is an important influence on risk tolerance; younger investors generally are more able to withstand short-term losses because they have a longer time horizon in which to recover. Investors with high net worth are also more able to withstand short-term losses than investors with lower net worth, and thus tend to be more tolerant of risk.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.d)

CFA® Program Curriculum, Volume 6, page 8

Question #113 of 180

Question ID: 1417675

If firms Acme and Butler have the same amount of sales and equal quick ratios, but Acme's receivables turnover is higher, it is *most likely* that:

A) Butler has better liquidity than Acme.

B) Butler has a lower cash ratio than Acme.

C) Acme's average days of receivables is higher than Butler's.

Explanation

Given that they have the same amount of sales and Acme's receivables turnover (sales/average accounts receivable) is higher, Acme must have lower average accounts receivable than Butler. Given that they have equal quick ratios, subtracting accounts receivable from the numerators of the quick ratios of both firms will produce a cash ratio for Butler that is lower than the cash ratio for Acme.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #114 of 180

Question ID: 1417683

Fireball Company has fixed operating costs of $120,000 and fixed financing costs of $120,000. Fireball's variable costs are $4 per unit of output. If Fireball sells 200,000 units for $5 each, it will generate:

A) a net profit.

B) an operating loss.

C) an operating profit but a net loss.

Explanation

Revenue = 200,000 × $5 = $1,000,000. Variable costs = 200,000 × $4 = $800,000. Operating income = $1,000,000 – $800,000 – $120,000 = $80,000. Net income = $80,000 – $120,000 = –$40,000.

Alternatively, operating breakeven quantity = $120,000 / ($5 – $4) = 120,000 units. Breakeven quantity = ($120,000 + $120,000) / ($5 – $4) = 240,000 units. Unit sales are less than the breakeven quantity but greater than the operating breakeven quantity.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.e)

CFA® Program Curriculum, Volume 4, page 104

Question #115 of 180

Question ID: 1417677

Appeal, Inc. has sold only one bond issue, $10 million face value of 20-year debt that pays annual interest at a rate of 6%, at a YTM of 6.5%. Appeal's management is evaluating a project that would require the issuance of another $10 million face value of debt. If the new bond has a 7.0% coupon and can be sold with a YTM of 7.5%, the pre-tax cost of debt that Appeal's management should use in evaluating the project is:

A) 6.5%.

B) 7.0%.

C) 7.5%.

Explanation

The appropriate pre-tax cost of debt is the required yield on newly issued debt to be issued.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.c)

CFA® Program Curriculum, Volume 4, page 9

Question #116 of 180

Question ID: 1417750

An analyst gathered the following data about three stocks:

Stock	Beta	Estimated Return
A	1.5	18.1%
B	1.1	15.7%
C	0.6	12.5%

If the risk-free rate is 8%, and the market risk premium is 7%, the analyst is *least likely* to recommend buying:

A) Stock A.

B) Stock B.

C) Stock C.

Explanation

Stock A: k_A = 8% + 1.5(7%) = 18.5%. Because the estimated return of 18.1% is less than the required return of 18.5%, Stock A is *overvalued*.

Stock B: k_B = 8% + 1.1(7%) = 15.7%. Because the estimated return of 15.7% equals the required return of 15.7%, Stock B is *properly valued*.

Stock C: k_C = 8% + 0.6(7%) = 12.2%. Because the estimated return of 12.5% is greater than the required return of 12.2%, Stock C is *undervalued*.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.h)

CFA® Program Curriculum, Volume 5, page 546

Question #117 of 180

Question ID: 1417673

Jay Company is considering a new joint venture with Haiche Company. Each company would contribute $5 million to the venture in each of the next four years, but at the end of Year 2, Jay has the right to turn the full venture over to Haiche. Jay should evaluate this right as:

A) a timing option. ✗

B) a flexibility option. ✗

C) an abandonment option. ✓

Explanation

An abandonment option allows a company to exit a project if it no longer expects the project to provide a positive net present value going forward. A timing option allows a company to delay a project. Flexibility options refer to changing prices, output quantities, or production inputs.(Module 28.3)

For Further Reference:

(Study Session 9, Module 28.3, LOS 28.d)

CFA® Program Curriculum, Volume 3, page 656

Question #118 of 180

Question ID: 1420473

A principal-agent conflict is *most likely* to occur between:

A) managers and employees. ✗

B) shareholders and senior managers.

C) suppliers and the board of directors.

Explanation

The principals in a corporation are the shareholders who own the firm. The principal-agent conflict occurs because the interests of shareholders often conflict with the incentives of board members or senior managers. The other answer choices do not involve the principals (owners) of the company.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.c)

CFA® Program Curriculum, Volume 3, page 605

Question #119 of 180

Question ID: 1417748

Which of the following equity securities is *most likely* to have a beta greater than one?

A) Utility stock.

B) Health care stock.

C) Homebuilder stock.

Explanation

Stocks of cyclical firms, such as homebuilders, tend to have high systematic risk (i.e., high beta). Stocks of noncyclical firms, such as utility or health care companies, tend to respond less to changes in systematic risk factors (i.e., they have low betas).

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.e)

CFA® Program Curriculum, Volume 5, page 541

Question #120 of 180

Question ID: 1417681

A firm that uses the public markets for all of its financing has the following securities outstanding:

	Book value	**Market value**
Equity securities	$35 million	$70 million
Debt securities	$25 million	$30 million

If an analyst assumes these data reflect the firm's target capital structure, he should estimate that its target weight of debt financing is *closest* to:

A) 26%.

B) 30%.

C) 43%.

Explanation

An analyst should use market values, not book values, to estimate the weights of debt and equity in a firm's target capital structure. Here, the weight of debt based on market values is 30 / (30 + 70) = 30%.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.c)

CFA® Program Curriculum, Volume 4, page 54

Question #121 of 180

Question ID: 1417708

A hedge fund manager is estimating a value for a non-traded bond of Yoder Company. The bond has an annual-pay 6% coupon, matures in six years, and has a CCC credit rating. Actively traded annual-pay bonds with similar credit ratings include the following:

Coupon	Maturity	Yield to maturity
8%	5 years	9.45%
5%	5 years	9.55%
7%	10 years	10.00%

Based on matrix pricing, the value of the Yoder bond as a percentage of par is *closest* to:

A) 83.9.

B) 84.1.

C) 84.5.

Explanation

To find an appropriate discount rate for the Yoder bond, first take the average of the 5-year bonds:

(9.45% + 9.55%) / 2 = 9.50%

Next, use linear interpolation to estimate a yield for a bond with six years to maturity:

9.50% + [(6 − 5) / (10 − 5)] × (10.00% − 9.50%) = 9.60%

Finally, discount the Yoder bond's cash flows at this rate:

N = 6; I/Y = 9.6; PMT = 6; FV = 100; CPT PV = –84.14

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.e)

CFA® Program Curriculum, Volume 4, page 533

Question #122 of 180

Question ID: 1417734

When the underlying asset does not pay any cash flows, the value of an American call option is:

A) equal to the value of an otherwise identical European call option.

B) less than the value of an otherwise identical European call option.

C) greater than the value of an otherwise identical European call option.

Explanation

Because the right to exercise a call option early is not valuable when the underlying asset does not pay any cash flows, the value of an American call option is equal to the value of an otherwise identical European call option.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.o)

CFA® Program Curriculum, Volume 5, page 248

Question #123 of 180

Question ID: 1417726

If the availability of a physical commodity over the period of a futures contract has value to users of the commodity, the commodity is said to provide:

A) storage yield.

B) economic yield.

C) convenience yield.

Explanation

Convenience yield is the value of a physical commodity being available for use over the period of a futures contract.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.e)

CFA® Program Curriculum, Volume 5, page 234

Question #124 of 180

Question ID: 1417698

An analyst determines that a company has a return on equity of 16% and pays 40% of its earnings in dividends. If the firm recently paid a $1.50 dividend and the stock is selling for $40, what is the required rate of return on the stock if it is priced according to the dividend discount model?

A) 9.6%.

B) 10.2%.

C) 13.7%.

Explanation

g = (1 − payout)(ROE) = (1 − 0.40)(16%) = 9.6%

$$\mathrm{k} = \frac{\$1.50(1.096)}{\$40} + 0.096 = 13.7\%$$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375

Question #125 of 180

Question ID: 1417709

A 7.5% coupon, semiannual-pay, five-year bond has a yield to maturity of 6.80%. Over the next year, if the bond's yield to maturity remains unchanged, its price will:

A) increase.

B) decrease.

C) remain unchanged.

Explanation

Because the coupon rate is greater than its yield to maturity, the bond price is at a premium to par value. If the yield remains unchanged, the price will decrease toward par value along its constant-yield price trajectory.

For Further Reference:

(Study Session 13, Module 41.1, LOS 41.b)

CFA® Program Curriculum, Volume 4, page 523

Question #126 of 180

Question ID: 1417685

A securities market exhibits operational efficiency if it offers:

A) low transaction costs.

B) prices that respond rapidly to new information.

C) rates of return that are proportional to risk on average.

Explanation

Operational efficiency refers to low transactions costs in a securities market. Informational efficiency means prices change rapidly to reflect new information without predictable bias and rates of return are, on average, proportional to risk.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.k)

CFA® Program Curriculum, Volume 4, page 175

Question #127 of 180

Question ID: 1417735

Co-investing is *most* accurately described as investing:

A) as a limited partner in an investment fund, but only committing capital to one or more of the fund's portfolio companies.

B) directly in one or more of an investment fund's portfolio companies, instead of investing as a limited partner in the fund.

C) directly in one or more of an investment fund's portfolio companies, in addition to investing as a limited partner in the fund.

Explanation

Co-investing refers to investing in a fund as a limited partner, while additionally investing directly in some of the assets in which the fund invests.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.b)

CFA® Program Curriculum, Volume 5, page 295

Question #128 of 180

Question ID: 1417725

Which of the following statements about plain vanilla interest rate swaps is *most accurate*? The swap counterparties:

A) typically make a margin deposit with a clearinghouse.

B) exchange fixed rate payments for variable rate payments.

C) exchange the notional principal at initiation and termination.

Explanation

The counterparties do not exchange the notional principal on an interest rate swap. (Module 45.2)

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.c)

CFA® Program Curriculum, Volume 5, page 158

Question #129 of 180

Question ID: 1417684

An investor buys a stock for $50. The initial margin requirement is 50%, and the maintenance margin requirement is 25%. The price below which the investor would receive a margin call would be:

A) $25.00.

B) $33.33.

C) $37.50.

Explanation

The following formula indicates the stock price that will trigger a margin call:

$$\begin{aligned} \text{long} &= \frac{(\text{original price})(1-\text{initial margin } \%)}{1-\text{maintenance margin}} \\ &= \frac{(\$50)(1-0.50)}{1-0.25} \\ &= \$33.33 \end{aligned}$$

For Further Reference:

(Study Session 11, Module 33.2, LOS 33.f)

CFA® Program Curriculum, Volume 4, page 158

Professor's Note

An intuitive way to solve minimum margin problems for equity accounts is based on the fact that while the margin amount changes with stock price changes after purchase, the loan amount does not. Stock price is $50, loan is $25, when the margin is 25% the loan must be 75% (of share price). $25 / 0.75 = $33.33.

Question #130 of 180

Question ID: 1417699

Pat McCoy, CFA, is analyzing a technology firm that has experienced annual earnings growth of 12%. McCoy does not expect the firm to begin paying dividends on its common shares in the foreseeable future. To estimate the value of this firm's common shares, McCoy should *most appropriately* use:

A) a two-stage DDM.

B) a free cash flow model.

C) a Gordon growth model.

Explanation

Free cash flow-based valuation techniques are appropriate for valuing shares of a firm that does not pay dividends. The Gordon growth model and two-stage dividend discount model are appropriate for valuing shares of dividend-paying firms.

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.h)

CFA® Program Curriculum, Volume 4, page 375

Question #131 of 180

Question ID: 1417721

The type of credit risk that is most directly reflected in a bond's rating is:

A) default risk. ✓

B) downgrade risk. ✗

C) credit spread risk. ✗

Explanation

Default risk is the possibility that the issuer will fail to meet its obligations under the indenture, for which investors demand a premium above the return on a default-risk-free security. Bond ratings indicate default risk. Downgrade risk is the risk that a bond will be reclassified as a riskier security by a credit rating agency. Credit spread risk is the risk that the default risk premium on a bond can increase.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.e)

CFA® Program Curriculum, Volume 5, page 82

Question #132 of 180

Question ID: 1417717

Portfolio duration *most accurately* approximates the sensitivity of the value of a bond portfolio to:

A) parallel shifts in the yield curve. ✓

B) increases in the slope of the yield curve. ✗

C) decreases in the slope of the yield curve. ✗

Explanation

Portfolio duration is an approximation of the price sensitivity of a portfolio to parallel shifts of the yield curve (yields for all maturities increase or decrease by equal amounts). Key rate duration may be used to estimate interest rate risk for non-parallel shifts in the yield curve.

For Further Reference:

(Study Session 14, Module 43.2, LOS 43.f)

CFA® Program Curriculum, Volume 5, page 32

Question #133 of 180

Question ID: 1417742

A university endowment commits $80 million to Lawson Private Capital Fund. Lawson charges a 1% management fee per year and incentive fees of 20% on all gains, and has an American-style waterfall structure with no clawback. Lawson draws down the endowment's capital to invest in the following portfolio companies:

Portfolio company	Investment	Cash received on exit
Adams	$20 million in Year 1	$30 million in Year 3
Borland	$25 million in Year 2	$45 million in Year 4
Chambers	$30 million in Year 3	$20 million in Year 5

At the end of Year 5, the investor's total gain after fees is closest to:

A) $10 million. ✓

B) $12 million. ✗

C) $14 million. ✗

Explanation

The increase in value over the five years is (30 + 45 + 20) – (20 + 25 + 30) = $20 million. Management fees are a percentage of committed capital: 1% × $80 million × 5 years = $4 million. With an American-style waterfall structure, incentive fees are calculated on a deal-by-deal basis. Lawson would receive 20% of ($30 million – $20 million) = $2 million on the Adams investment and 20% of ($45 million – $25 million) = $4 million on the Borland investment, and no incentive fees on the Chambers investment, for a total of $6 million. Total fees over the five years are $4 million + $6 million = $10 million, and the investor's gain after fees is $20 million – $10 million = $10 million.

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.j)

CFA® Program Curriculum, Volume 5, page 387

Question #134 of 180

Question ID: 1417687

A stock index consists of two stocks. As of January 1:

- Company A has 50 shares outstanding valued at $2 each.
- Company B has 10 shares outstanding valued at $10 each.
- The price-weighted index is 6, and the value-weighted index is 100.

On June 30, the price of Company A's stock has increased to $4 per share. Effective the morning of July 1, Company B's stock splits two- for-one and is priced at $5. The opening values of the price-weighted index and the value-weighted index on July 1 are:

	Price-weighted	Value-weighted	
A)	7	150	✔
B)	7	125	✘
C)	4.5	150	✘

Explanation

$\text{Price-weighted index} = \dfrac{4+10}{2} = 7$. A price-weighted index is not affected by a split.

The divisor is adjusted to account for the price change.

$$\text{Value-weighted index} = 100 \times \frac{\$4(50)+\$5(20)}{\$2(50)+\$10(10)} = 150$$

For Further Reference:

(Study Session 11, Module 34.1, LOS 34.e)

CFA® Program Curriculum, Volume 4, page 200

Question #135 of 180

Question ID: 1417691

The assertion that investors, analysts, and portfolio managers exhibit psychological tendencies that cause them to make systematic errors is *most* consistent with:

A) behavioral finance. ✔

B) weak-form market efficiency.

C) fundamental analysis.

Explanation

Behavioral finance studies how market anomalies can arise from psychological traits that affect investor behavior and cause investors to make systematic errors such as exiting profitable positions too soon and holding unprofitable positions too long.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.g)

CFA® Program Curriculum, Volume 4, page 257

Question #136 of 180

Question ID: 1417722

A firm is said to have a top-heavy capital structure if a high percentage of its total capital is:

A) debt.

B) short-term debt.

C) secured bank debt.

Explanation

"Top-heavy" refers to a capital structure that includes a high percentage of secured bank debt. A firm with a top-heavy capital structure may be limited in its access to additional bank borrowing, which increases the likelihood of default if the firm encounters financial distress.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.j)

CFA® Program Curriculum, Volume 5, page 112

Question #137 of 180

Question ID: 1417715

An 8%, semiannual pay, option-free corporate bond that is selling at par has ten years to maturity. What is the approximate modified duration of the bond based on a 75 basis point change (up or down) in rates?

A) 5.6.

B) 6.8.

C) 7.2.

Explanation

First calculate V_- and V_+, the bond's value at 7.25% and 8.75% yields to maturity. The bond values are $1,052.70 and $950.69, respectively:

N = 20; I/Y = 7.25 / 2 = 3.625; PMT = 40; FV = 1,000; CPT PV = −1,052.70

N = 20; I/Y = 8.75 / 2 = 4.375; PMT = 40; FV = 1,000; CPT PV = −950.69

$$\mathrm{D} = \frac{\mathrm{V}_{-} - \mathrm{V}_{+}}{2\mathrm{V}_0(\Delta \mathrm{y})} = \frac{1{,}052.70 - 950.69}{2(1{,}000)(0.0075)} = 6.8.$$

For Further Reference:

(Study Session 14, Module 43.1, LOS 43.b)

CFA® Program Curriculum, Volume 5, page 14

Question #138 of 180

Question ID: 1417727

The convenience yield associated with holding the underlying asset of a derivative is *most accurately* described as:

A) the nonmonetary benefits of holding the asset.

B) the monetary and nonmonetary benefits of holding the asset.

C) the monetary and nonmonetary benefits of holding the asset, net of its holding costs.

Explanation

Convenience yield refers to the nonmonetary benefits of holding an asset, for example being in a position to sell an overvalued asset that is difficult to sell short. Convenience yield does not include monetary benefits such as interest and dividend income. The costs of holding the asset, net of the monetary and nonmonetary benefits of holding it, is referred to as the net cost of carry.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.e)

CFA® Program Curriculum, Volume 5, page 234

Question #139 of 180

Question ID: 1417731

During the life of a European option, the amount by which its price is greater than its exercise value is *most accurately* described as its:

A) time value.

B) moneyness.

C) intrinsic value.

Explanation

Before expiration, an option can have a price greater than its exercise or intrinsic value. This amount by which an option's price is greater than its exercise value is referred to as its time value.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.j)

CFA® Program Curriculum, Volume 5, page 248

Question #140 of 180

Question ID: 1417711

A bond with nine years to maturity is quoted at an interpolated spread of +150 basis points. The benchmark yield for this bond is:

A) a swap rate.

B) a matrix rate.

C) a government bond yield.

Explanation

Interpolated spreads (I-spreads) are spreads to swap rates.

For Further Reference:

(Study Session 13, Module 41.5, LOS 41.k)

CFA® Program Curriculum, Volume 4, page 558

Question #141 of 180

Question ID: 1417688

An investor purchases 1,000 shares of each of the stocks in a price-weighted index at their closing prices (ignore transactions costs). On a total return basis, if the index stocks remain the same, this portfolio will *most likely*:

A) perform exactly like the index over time.

B) outperform the index over time.

C) underperform the index over time.

Explanation

Total return includes dividend yield. Because dividends are not included in the performance of the index itself, the portfolio will outperform the index by the amount of the dividend yield.

For Further Reference:

(Study Session 11, Module 34.1, LOS 34.b)

CFA® Program Curriculum, Volume 4, page 196

Question #142 of 180

Question ID: 1417701

Among valuation models, the difficulty of estimating a required rate of return is *most likely* to be a disadvantage of using:

A) a Gordon growth model.

B) an asset-based valuation model.

C) an enterprise value multiplier model.

Explanation

One of the disadvantages of present value models such as the Gordon growth model is that the required rate of return on equity must be estimated. Neither an enterprise value multiplier model nor an asset valuation model requires an explicit estimate of the required rate of return.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.m)

CFA® Program Curriculum, Volume 4, page 369

Question #143 of 180

Question ID: 1417693

An investor owns preference shares which stipulate that any dividend for the current period, as well as all past dividends, must be fully paid before a common stock dividend may be paid. This security is *best* described as:

A) full-pay preferred.

B) restricted preferred.

C) cumulative preferred.

Explanation

Cumulative preferred shares stipulate that all preferred dividends must be paid before common stock dividends can be paid.

For Further Reference:

(Study Session 12, Module 36.1, LOS 36.a)

CFA® Program Curriculum, Volume 4, page 277

Question #144 of 180

Question ID: 1417718

Consider two option-free, 5% annual-pay bonds from the same issuer and with the same seniority. One of the bonds has a modified duration of 3.5 and approximate convexity of 15. The other has a modified duration of 8.5 and approximate convexity of 75. Can the lower- duration bond have more price volatility than the higher-duration bond?

A) No, because it also exhibits lower convexity.

B) Yes, because shifts in the yield curve may be non-parallel.

C) No, because its price will respond relatively less in response to changes in yield.

Explanation

Duration-based estimates of bond value changes assume the yield curve shifts in a parallel manner. If instead short-term interest rates are more volatile than long-term interest rates, it is possible for a bond with lower duration to have more price volatility than a bond with higher duration. (Module 43.3)

For Further Reference:

Study Session 14, Module 43.3, LOS 43.f

CFA® Program Curriculum, Volume 5, page 32

Question #145 of 180

Question ID: 1417739

A leveraged buyout firm that carries out a secondary sale has:

A) offered additional shares to the public.

B) exited an investment in a portfolio company.

C) received new capital from its general or limited partners.

Explanation

In a secondary sale, a private equity firm sells one of its portfolio companies to a group of investors or another private equity firm.

For Further Reference:

(Study Session 16, Module 47.3, LOS 47.e)

CFA® Program Curriculum, Volume 5, page 321

Question #146 of 180

Question ID: 1417732

Which of the following portfolios has the same future cash flows as a put option?

A) Long call option, long risk-free bond, short underlying asset.

B) Long call option, short risk-free bond, long underlying asset.

C) Short call option, long risk-free bond, long underlying asset.

Explanation

Using the put-call parity relationship, a synthetic put option can be created by combining a long call option with the same exercise price and expiration date, a short position in the underlying asset, and a long position in a risk-free bond that pays the exercise price on the expiration date.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.l)

CFA® Program Curriculum, Volume 5, page 258

Question #147 of 180

Question ID: 1417712

Compared to a recourse mortgage loan, a nonrecourse mortgage loan:

A) is likely to have a higher interest rate.

B) is less likely to be purchased by a government agency.

C) is issued with less strict standards for a borrower's credit history.

Explanation

In the event of a default, a borrower with a nonrecourse loan is not liable for the loan amount, the property is simply returned to the lender. With a nonrecourse loan, the lender has more risk in the event of default so interest rates will be higher. Even without recourse, the creditworthiness of a borrower is a primary concern to originators of residential mortgage loans.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.d)

CFA® Program Curriculum, Volume 4, page 600

Question #148 of 180

Question ID: 1417714

A 10-year note issued by Gaullic Finance will be paid from a bankruptcy-remote pool of Gaullic's balance sheet assets. These notes are *best* described as:

A) covered bonds.

B) securitized bonds.

C) asset-backed bonds.

Explanation

Covered bonds are an obligation of the corporation that issues them, but their interest and principal payments are provided by a pool of assets that are legally recognized as bankruptcy remote. They are different from securitized bonds (i.e., asset-backed securities), which are issued by a special purpose entity to which the underlying assets are sold.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.b)

CFA® Program Curriculum, Volume 4, page 591

Question #149 of 180

Question ID: 1417740

Returns calculated from which type of real estate index are *most likely* to have the lowest standard deviation?

A) REIT index.

B) Appraisal index.

C) Repeat sales index.

Explanation

Valuations based on appraisals tend to smooth returns compared to using market-based valuations. As a result, returns based on an appraisal index are likely to have a lower standard deviation than returns based on a repeat sales index or a REIT index.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.g)

CFA® Program Curriculum, Volume 5, page 350

Question #150 of 180

Question ID: 1417703

An analyst gathered the following data about a company:

- The historical earnings retention rate of 40% is projected to continue into the future.
- The sustainable ROE is 12%.
- The stock's beta is 1.2.
- The nominal risk-free rate is 6%.
- The expected market return is 11%.

If the analyst believes next year's earnings will be $4 per share, what value should be placed on this stock?

A) $22.24.

B) $33.32.

C) $45.45.

Explanation

Dividend payout = 1 − earnings retention rate = 1 − 0.4 = 0.6

$R_S = R_f + \beta(R_M - R_f) = 0.06 + 1.2(0.11 - 0.06) = 0.12$

g = (retention rate)(ROE) = 0.4(0.12) = 0.048

$$P/E = \frac{\text{dividend payout ratio}}{k-g} = \frac{0.6}{0.12-0.048} = 8.33$$

Price = E(P/E) = \$4(8.33) = \$33.32

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.j)

CFA® Program Curriculum, Volume 4, page 385

Question #151 of 180

Question ID: 1417694

The type of equity depository receipt that gives its owners the right to vote and receive dividends from a company's shares is *best* described as:

A) a global depository receipt. ✗

B) a sponsored depository receipt. ✓

C) a fully-owned depository receipt. ✗

Explanation

The owner of a sponsored DR share has the same voting rights and receives the same dividends as the owner of a common share of the firm. With an unsponsored DR, the depository bank retains the voting rights. A global depository receipt may be sponsored or unsponsored.

For Further Reference:

(Study Session 12, Module 36.2, LOS 36.d)

CFA® Program Curriculum, Volume 4, page 285

Question #152 of 180

Question ID: 1417706

Consider the following Treasury spot rates expressed as bond equivalent yields:

Maturity	Spot Rate
6 months	3.0%
1 year	3.5%
1.5 years	4.0%
2 years	4.5%

If a Treasury note with two years remaining to maturity has a 5% semiannual coupon and is priced at $1,008, the note is:

A) overpriced.

B) underpriced.

C) correctly priced.

Explanation

The market value of the Treasury note is the present value of the remaining coupons plus the present value of the principal, discounted at the semiannual rates available from dividing each annual spot rate in the table by two.

$$\text{value of T-note} = \frac{\$25}{(1.015)} + \frac{\$25}{(1.0175)^2} + \frac{\$25}{(1.02)^3} + \frac{\$1{,}025}{(1.0225)^4} = \$1{,}010.05$$

At $1,008, the T-note is priced below the present value of its cash flows ($1,010) and is therefore underpriced.

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.c)

CFA® Program Curriculum, Volume 4, page 527

Question #153 of 180

Question ID: 1417720

Which of the following is an advantage of a callable bond (compared to an identical option-free bond) to an investor?

A) Less reinvestment risk.

B) Higher yield.

C) More convexity.

Explanation

An issuer of a callable bond must compensate the bondholder when the issue is sold by offering a higher coupon rate or accepting a lower price than if the call feature was not included. Convexity will typically be much less than for an option-free bond, and reinvestment risk is greater for callable bonds.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.h)

CFA® Program Curriculum, Volume 4, page 448

Question #154 of 180

Question ID: 1417730

A company is *most likely* to enter a plain vanilla interest rate swap as the fixed-rate payer if its balance sheet has predominantly:

A) floating-rate assets, and management expects interest rates to increase. ✗

B) fixed-rate liabilities, and management expects interest rates to decrease. ✗

C) floating-rate liabilities, and management expects interest rates to increase. ✓

Explanation

If interest rates are expected to increase, a company with predominantly floating-rate liabilities could benefit from entering an interest rate swap on the pay-fixed, receive-floating side. An increase in interest rates will increase the floating-rate payments received on the swap, offsetting the increase in the required payments on the floating-rate liability.

For Further Reference:

(Study Session 15, Module 46.2, LOS 46.i)

CFA® Program Curriculum, Volume 5, page 234

Question #155 of 180

Question ID: 1417696

Ron Egan, CFA, classifies firms in the transportation industry in peer groups that include airlines and bus operators. Egan learns that one of the airlines, Acme, derives half its revenue from its Acme Bus Lines subsidiary. Egan adds Acme to his peer group for bus operators while continuing to include Acme in his peer group for airlines. Is Egan's treatment of Acme appropriate?

A) Yes.

B) No, because each company should be included in only one peer group.

C) No, because the bus operations are not the company’s principal business activity.

Explanation

Peer groups should include comparable companies with similar business activities. An analyst can appropriately include a company in multiple peer groups if the company's business activities are comparable to firms in more than one peer group.

For Further Reference:

(Study Session 12, Module 37.1, LOS 37.e)

CFA® Program Curriculum, Volume 4, page 318

Question #156 of 180

Question ID: 1417743

Which measure of return is *most* appropriate for investments with cash flows that may vary in their timing and amounts?

A) Multiple of invested capital.

B) Time-weighted rate of return.

C) Internal rate of return over the investment’s life.

Explanation

Internal rates of return are appropriate for measuring returns of investments that are characterized by cash inflows and outflows that may vary in their timing and magnitude, such as real estate and private capital investments. Neither multiple of invested capital nor time-weighted rate of return account for the timing of cash flows.

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.i)

CFA® Program Curriculum, Volume 5, page 375

Question #157 of 180

Question ID: 1417707

The full price of a bond:

A) includes accrued interest.

B) includes commissions and taxes.

C) is also known as the “clean” price.

Explanation

The full price is clean price plus accrued interest.

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.d)

CFA® Program Curriculum, Volume 4, page 529

Question #158 of 180

Question ID: 1417704

Which of the following is a disadvantage to bondholders if a bond has a sinking fund provision?

A) Lower credit quality.

B) Unfavorable tax status.

C) Greater reinvestment risk.

Explanation

Reinvestment risk is a disadvantage of a sinking fund provision. Some bondholders will be repaid the bond principal earlier than the maturity date. If interest rates have declined since they bought the bonds, these bondholders will only be able to reinvest the returned principal at a lower rate of return. A sinking fund provision increases the credit quality of an issue and typically does not affect a bond's taxable status.

For Further Reference:

(Study Session 13, Module 39.2, LOS 39.e)

CFA® Program Curriculum, Volume 4, page 437

Question #159 of 180

Question ID: 1417723

A debt covenant designates one of a holding company's subsidiaries as restricted. Which of the following credit-related considerations does this covenant address?

A) Credit migration risk.

B) Structural subordination.

C) Payments to equity holders.

Explanation

Restricted subsidiaries are those whose cash flows and assets are designated to service the debt of their holding company. Classifying a subsidiary as restricted alleviates structural subordination by making holding company debt rank pari passu with the subsidiary's debt.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.j)

CFA® Program Curriculum, Volume 5, page 112

Question #160 of 180

Question ID: 1417689

The type of equity index *most likely* to require rebalancing is:

A) a price-weighted index.

B) an equal-weighted index.

C) a market-capitalization index.

Explanation

The individual security weights in an equal-weighted index must be rebalanced periodically to restore equal weights as security prices change over time. The weights in a price-weighted index are determined by securities prices. Market capitalization-weighted indexes are self-adjusting to a large extent.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.k)

CFA® Program Curriculum, Volume 4, page 213

Question #161 of 180

Question ID: 1417728

Which of the following is *most likely* to be an impediment to arbitrage?

A) The law of one price.

B) Short-sale restrictions. ✓

C) Investors' risk aversion. ✗

Explanation

Restrictions on short sales may be an impediment to arbitrage when a security is overpriced relative to another security or derivative that has identical cash flows. Because arbitrage transactions are theoretically riskless, risk aversion should not be viewed as an impediment. The law of one price is the theory arbitrage trading will force two assets with the same cash flows toward the same price.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.a)

CFA® Program Curriculum, Volume 5, page 228

Question #162 of 180

Question ID: 1417713

Consider a collateralized mortgage obligation (CMO) structure with one planned amortization class (PAC) class and one support tranche outstanding. If the prepayment speed is higher than the upper collar on the PAC:

A) the life of the PAC tranche will increase. ✗

B) the PAC tranche has no risk of prepayments. ✗

C) the life of the support tranche will decrease. ✓

Explanation

If the prepayment speed is higher than the PAC collar, the support tranche receives more prepayments. The life of the support tranche will shorten. The PAC tranche *could* receive higher prepayments if the support tranche principal is fully repaid (i.e., a broken PAC). In this case, the support tranche is still outstanding, which means that hasn't happened yet.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.f)

CFA® Program Curriculum, Volume 4, page 604

Question #163 of 180

Question ID: 1417695

The change in the intrinsic value of a firm's common stock resulting from an increase in ROE *most likely*:

A) increases the stock’s intrinsic value.

B) decreases the stock’s intrinsic value.

C) depends on the reason for the increase in ROE.

Explanation

While an increase in a firm's ROE due to a sharp increase in earnings will, if unexpected, lead to an increase in the intrinsic value of its shares, an increase in a firm's ROE due to the repurchase of stock with debt will not necessarily increase the intrinsic value of the firm's shares, as any increase in ROE may be offset by an increase in the risk inherent in the firm's shares.

For Further Reference:

(Study Session 12, Module 36.2, LOS 36.h)

CFA® Program Curriculum, Volume 4, page 293

Question #164 of 180

Question ID: 1417692

Which of the following statements about short selling is *least accurate*?

A) A short seller is required to set up a margin account.

B) A short sale involves securities the investor does not own.

C) A short seller loses if the price of the stock sold short decreases.

Explanation

The short seller loses if the stock price increases. The other choices are accurate statements.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.e)

CFA® Program Curriculum, Volume 4, page 249

Question #165 of 180

Question ID: 1417719

For a bond currently priced at $1,018 with an effective duration of 7.48, if the market yield moved down 75 basis points, the new price would be approximately:

A) $961.

B) $1,075.

C) $1,094.

Explanation

$$\%\Delta\text{price} \approx -7.48(-0.0075) = 0.0561$$

$1,018(1 + 0.0561) = $1,075.11

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.i)

CFA® Program Curriculum, Volume 5, page 36

Question #166 of 180

Question ID: 1417705

A public offering of bonds issued over a period of time is *most accurately* described as:

A) a serial structure.

B) a shelf registration.

C) a waterfall structure.

Explanation

In a shelf registration, an entire issue is registered with securities regulators but the bonds are sold to the public over a period of time as the issuer needs to raise funds. In a serial bond issue, bonds with multiple maturity dates are issued at the same time. A waterfall structure is issued in tranches with differing priority of claims.

For Further Reference:

(Study Session 13, Module 40.2, LOS 40.g)

CFA® Program Curriculum, Volume 4, page 489

Question #167 of 180

Question ID: 1417733

The put-call-forward parity relationship is similar to the standard put-call parity relationship with a forward price substituted for:

A) the risk-free bond.

B) the underlying asset.

C) either the call or put option.

Explanation

The put-call-forward parity relationship is the same as the standard put-call parity relationship, with the present value of the forward price substituted for the underlying asset.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.m)

CFA® Program Curriculum, Volume 5, page 258

Question #168 of 180

Question ID: 1417738

A hedge fund uses derivative positions to take a long position in the Japanese yen and a short position in the euro. The classification of this hedge fund is *most likely*:

A) an event-driven fund.

B) a macro strategy fund.

C) a quantitative directional fund.

Explanation

Macro strategy funds invest based on expected shifts of global economies, primarily in currency and interest rate derivatives. Quantitative directional funds take long and short positions in equities based on technical analysis. Event-driven funds seek to profit from investment strategies based on specific corporate events and one-time transactions.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #169 of 180

Question ID: 1417690

Compared to an index of 100 U.S. exchange-traded stocks, an index of 100 U.S. government and corporate bonds will *most likely*:

A) reflect equally timely price data.

B) be more difficult to build and maintain.

C) have less turnover among the securities in the index.

Explanation

Bond indexes are more difficult to build and maintain than stock indexes for several reasons. Bonds in an index have to be replaced as they mature, so turnover is likely to be greater in a bond index than in a stock index. Many bonds lack the continuous trade data that exists for exchange-traded equities.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.i)

CFA® Program Curriculum, Volume 4, page 216

Question #170 of 180

Question ID: 1417710

The minimum data required to calculate the implied forward rate for three years beginning three years from now is:

A) the 3-year and 6-year spot rates.

B) the 4-year, 5-year, and 6-year spot rates.

C) spot rates at 1-year intervals for the 6-year period.

Explanation

If we want the 3-year forward rate in three years, the appropriate formula is:

$$3y3y = \left[\frac{(1+S_6)^6}{(1+S_3)^3}\right]^{1/3} - 1$$

S_6 = 6-year spot rate and S_3 = 3-year spot rate.

For Further Reference:

(Study Session 13, Module 41.4, LOS 41.j)

CFA® Program Curriculum, Volume 4, page 550

Question #171 of 180

Question ID: 1417697

An industry in the growth phase of the industry life cycle is *most likely* to experience:

A) increasing prices.

B) increasing profitability.

C) intense competition among competitors.

Explanation

An industry in the growth stage is usually characterized by increasing profitability, decreasing prices, and a low degree of competition among competitors.

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.i)

CFA® Program Curriculum, Volume 4, page 332

Question #172 of 180

Question ID: 1417736

Which of the following provisions is *least likely* to benefit the limited partners in a private equity fund?

A) High hurdle rate.

B) Catch-up clause.

C) Whole-of-fund waterfall structure.

Explanation

Catch-up clauses benefit the general partners, allowing them to collect all gains after the hurdle rate is met until they have collected their specified incentive percentage of the initial gains. A high hurdle rate benefits the limited partners because they do not pay incentive fees until the hurdle rate is met. A whole-of-fund waterfall structure is more favorable to limited partners than a deal-by-deal waterfall structure.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #173 of 180

Question ID: 1417734

Question #173 of 180

Question ID: 1417724

Over-the-counter derivatives are:

A) standardized and backed by a clearinghouse.

B) not standardized but are backed by a clearinghouse.

C) neither standardized nor backed by a clearinghouse.

Explanation

Over-the-counter derivatives are customized private contracts between counterparties.

For Further Reference:

(Study Session 15, Module 45.1, LOS 45.a)

CFA® Program Curriculum, Volume 5, page 149

Question #174 of 180

Question ID: 1417700

An analyst gathered the following data about a company:

- A historical earnings retention rate of 60% that is projected to continue into the future.
- A sustainable return on equity of 10%.
- A beta of 1.0.
- The nominal risk-free rate is 5%.
- The expected market return is 10%.

If next year's EPS is $2 per share, what value should be estimated for this stock?

A) $20.00.

B) $30.50.

C) $35.45.

Explanation

dividend payout = 1 − earnings retention rate = 1 − 0.6 = 0.4

$$R_S = R_f + \beta\left(R_{mkt} - R_f\right) = 0.05 + 1.0\left(0.10 - 0.05\right) = 0.10$$

g = (retention rate)(ROE) = (0.6)(0.10) = 0.06

$$P/E = \frac{\text{dividend payout}}{k-g} = \frac{0.4}{0.10-0.06} = 10$$

price = (E)(P/E) = (2)(10) = $20

Alternatively, dividend will be 40% of $2 earnings or $0.80, and $\frac{0.80}{0.10-0.06} = \$20.$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375

Question #175 of 180

Question ID: 1417702

Acquire Corp. has a business model based on making accretive acquisitions each year. The company has historically been successful in implementing its strategy. Earnings per share have grown each of the last five years at a 15% compounded rate. Acquire's two primary business segments are engineering construction and mining. During the past year, Acquire purchased a services company with large net operating losses. The purchase price was one-half the company's current market value. The *most appropriate* technique to value Acquire is based on its:

A) price-to-book value ratio. ✗

B) forward price-to-earnings ratio. ✓

C) trailing price-to-sales ratio. ✗

Explanation

The new acquisition has likely changed the nature of Acquire's business so that historical information is not as relevant to the investment decision-making process. The most appropriate earnings multiple for analyzing Acquire is the forward price-to-earnings ratio.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.i)

CFA® Program Curriculum, Volume 4, page 385

Question #176 of 180

Question ID: 1417729

A 60-day forward rate agreement (FRA) on 60-day U.S. dollar LIBOR has a fixed rate of 6%. If, at the initiation of the contract, 60-day LIBOR is 5%, the payment in 60 days:

A) is unknown. ✓

B) will be received by the long position. ✗

C) will be received by the short position. ✗

Explanation

The payment on an FRA is unknown until the settlement date of the forward, when the future 60-day rate is known.

For Further Reference:

(Study Session 15, Module 46.2, LOS 46.f)

CFA® Program Curriculum, Volume 5, page 239

Question #177 of 180

Question ID: 1417737

A characteristic of alternative investments that distinguishes them from traditional investments is that:

A) redemptions are more restricted. ✓

B) they are subject to stricter regulations. ✗

C) managers hold more diversified portfolios. ✗

Explanation

Greater restrictions on investor redemptions are a characteristic of alternative investments. Alternative investments are less regulated than traditional investments and managers tend to hold more concentrated portfolios.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.a)

CFA® Program Curriculum, Volume 5, page 289

Question #178 of 180

Question ID: 1417716

A 3-year, 6% coupon, semiannual-pay note has a yield to maturity of 5.5%. If an investor holds this note to maturity and earns a 4.5% return on reinvested coupon income, his realized yield on the note is *closest* to:

A) 5.46%.

B) 5.57%.

C) 5.68%.

Explanation

This question does not require calculations. Because the return on reinvested coupon interest is less than the note's yield to maturity, the investor's realized yield on the note must be less than the YTM. Only Choice A can be correct.

For Further Reference:

(Study Session 14, Module 43.1, LOS 43.a)

CFA® Program Curriculum, Volume 5, page 7

Question #179 of 180

Question ID: 1417741

Public-private partnerships are *most likely* to be a vehicle for investing in:

A) tangible collectibles.

B) distressed securities.

C) greenfield infrastructure.

Explanation

Public-private partnerships are a vehicle for investing in infrastructure.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.h)

CFA® Program Curriculum, Volume 5, page 366

Question #180 of 180

Question ID: 1417686

Liquidity is generally supplied by dealers in:

A) a brokered market.

B) an order-driven market.

C) a quote-driven market.

Explanation

Liquidity is generally supplied by dealers in a quote-driven market, by other traders in an order-driven market, and by brokers (who arrange the trades) and traders in a brokered market.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.j)

CFA® Program Curriculum, Volume 4, page 171